

**GOVERNMENT OF ANDHRA PRADESH
STATE AUDIT DEPARTMENT**

From

M.Thirupathaiah, M.A.,B.Ed.,
District Audit Officer,
State Audit,
Nellore,

To

The Commissioner,
Municipal Council
KANDUKUR,
SPSR Nellore District.

Lr. S.A. No. 15 /NP/2024-25, Dated: 14/05/2025

Sir,

Sub: Audit – Audit on the accounts of Municipal Council,
KANDUKUR, SPS Nellore District for the year **2023-24** - Audit
Report – Issued – Regarding.

♦ ♦ ♦

I am to forward herewith the audit report on the accounts of Municipal Council, **KANDUKUR**, Nellore District for the year **2023-24** in duplicate and requested that the report may be returned within two months to the District Audit Officer of State Audit, Nellore along with the replies in triplicate duly approved by the committee as per section 9 (1) of the A.P. State Audit Act, 1989 and Rule 89 (1) of the Rules relating to A.P. State Audit Act, 1989 issued in G.O.Ms.No.130, Fin. & Plg. (FW Admn. II), Dt. 8-9-2000.

Yours faithfully,


**District Audit Officer
State Audit::Nellore.**

 Copy Submitted to the Secretary to Govt. of Municipal Administration & Urban development, A.P Secretariat Office, Velagapudi, along with a copy of Audit Report.

Copy submitted to the Director, State Audit, A.P., Nidhi Bhavan, Mangalagiri.

Copy submitted to the Commissioner and Director of Municipal Administration, A.P, Vaddeswaram, Mangalagiri.

AUDIT REPORT ON THE ACCOUNTS OF
MUNICIPAL COUNCIL, KANDUKUR, SPS NELLORE DISTRICT
FOR THE YEAR 2023-24

Name of the Auditor(s): **1. M.Sreenamma, Assistant Audit Officer,**
 2. P. Abzal Khan, Sernior Auditor
 3. N.Subramani, Senior Auditor
 4. G. Jeeva, Senior Auditor

Time taken for Audit: **06.02.2025 to 28.02.2025**
 and 06.03.2025 to 15.03.2025

The office of the Special Officer was held by the following persons for the Financial year 2023-24

1) Smt SS Shobika, IAS	
Sub Collector, Kandukur	From 01.04.2023 to 01.08.2023
2) Thippareddy Bapireddy	
Vice Chairman NUDA	From 02.08.2023 to 31.03.2024

The office of the Commissioner was held by the following persons for the Financial year 2023-24.

1) Sri S. Manohar	From 01.04.2023 to 30.01.2024
2) Sri K.V.Krishna Reddy	From 01.02.2024 to 31.03.2024

SCOPE OF AUDIT-NON-MAINTENANCE OF VARIOUS VITAL AND IMPORTANT RECORDS -SCOPE OF AUDIT REDUCED-MISAPPROPRIATIONS, DEFALCATIONS:

The audit was conducted as a part of Compliance Audit and the objective of carrying out the audit was to:

Verity whether taxes and non-taxes were levied and collected in accordance with the provisions of the Act and G.Os issued by Government from time to time.

Verify whether the basic facilities were provided to all wards and work executed within the framework of Accounts code.

Verify whether the grants received from the Central/State Government utilized properly to achieve the intended target.

The Audit findings were bench marked against the criteria mentioned below:

1. The Hyderabad municipal Corporation Act 1955.
2. A.P. Municipalities Act, 1965.
3. Orders, instructions, guidelines etc., issued by Government of India and State Government from time to time.

DISCLAIMER:

The Audit reports has been prepared on the basis of information furnished/made available by the Municipal council, Kandukur. The Audit Staff of the SPS Nellore District disclaims any responsibility for any Mis-information and /or non-information on the part of the Kandukur Municipal Council.

1) GENERAL FINANCIAL REVIEW:

The receipts and payments during the year were shown in the Receipts & Payments statement together with the opening and closing balance. The opening balance in the cash book is in agreement with the closing balance of the previous year. The consolidated Annual Account was showing the closing balance of **Rs: 27,72,48,790.89** as on 31.03.2024. the Cash Books were written up based on the treasury pass books. As such, the correctness of the closing balance of the cash book could not be certified in audit. Immediately the reconciliation between cash book and pass book would need to be made and produced to audit.

DETAILS OF CONSOLIDATED CLOSING BALANCES of PD Accounts:

HOA	Opening Balance	Receipts	Total Receipts	Expenditure	Closing Balance
HOA-001	66035489.69	141246186	207281675.69	140021060.08	67260615.61
HOA-002	57715835.00	65735664	123451499	62916218	60535281
HOA-0404 (14th FC)	0.89	0	0	0	.89
HOA-005 (15th FC)	82696915.88	21466717	104163632.88	7043405.20	97120227.68
PFMS (15 th FC)	0.00	23672557	23672557	7042827	16629730
Total	206448241.46	252121124	458569364.57	217023510.28	241545855.18

DETAILS OF CONSOLIDATED CLOSING BALANCEs of All Schemes:						
S. No .	Name of the Account	Opening Balance 01.04.2023	Receipts	Total	Charges	Closing Balance
1	State Bank of India, Kandukur (EMD)A/c No.31149746903	14096319.15	3993777	18090096.15	6955374	11134722.15
2	State Bank of India, Kandukur (DDO) A/c No.30769935607	7113028.25	0.00	7113028.25	0.00	7113028.25
3	Andhra Bank, Kandukur A/c No.30410011020567	970955.30	0.00	970955.30	0.00	970955.30
4	MF-State Bank of India, Kandukur HOA 001	66035489.69	141246186	207281675.69	140021060.08	67260615.61
5	MF-State Bank of India, Kandukur HOA 002 A/c No.844810203002	57715835.00	65735664	123451499	62916218	60535281
6	CF-State Bank of India, Kandukur A/c No.844810203004	0.89	0.00	.89	0.00	.89
7	Syndicate Bank of India, Kandukur A/c No.19041054889(ASC Grtant)	5961565.00	0.00	5961565	0.00	5961565
8	State Bank of India, KandukurA/cNo. 8448001020401014015	82696915.88	21466717	104163632.88	7043405.20	97120227.68
9	HDFC Bank Littimed, Kandukur A/c (User charges)No.50100494969470	140099.00	9191	149290	0.00	149290
10	Canara Bank, Kandukur, A/c No.110051042747	147023.00	1974901	2121924	2121924	0.00
10 11	State Bank of India, Kandukur-MPLADS A/c No.40601447787	125397.00	0.00	125397	125397	0.00
12	UTI Bank Littimed (Axis Bank), Kandukur A/c No.293010200008006	2219264.00	765855	2985119	1900374	1084745
13	UTI Bank Littimed (Axis Bank), Kandukur (Swachan dra Corporation A/c No.915010030603761	6365030.01	205270	6570300.01	542499	6027801.01

14	Syndicate Bank APGB, Kandukur (CC Canal)A/c No.91004736812	150724.00	7511992	7662716	4401887	3260829
15	PFMS 15 th FC Union Bank of India, Kandukur A/c No.457602010023625	0.00	23672557	23672557	7042827	16629730
Total		243737647.17	266582110	510319756.17	233070965.28	277248790.89

FINANCIAL POSITION:

The resources of ULBs consist of grants and assistance from the Government of India (GOI) and the State Government under various schemes, loans from Financial Institutions and own revenue generated through various taxes and non-tax collections. The tax revenue mainly accrues from property tax and while non-tax revenue comes from water charges, encroachment fee, developmental charges, building fee, etc. Figures in the following table were furnished for analysis revenue position either increase or not. The financial position was increased than previously position.

The Details of the Receipt & Expenditure during the year 2023-24 as per Cash Book & CFMS PD accounts are detailed below.

PD Account : 001

Details	As per Cash Book Rs.
Opening Balance as on 01.04.2024	66035489.69
Receipt for the year 2023-24	141246186.00
Total	207281675.69
Expenditure for 2023-24	140021060.08
Closing Balance as on 31.03.2024	67260615.61

001 Cash Book Reconciliation

Closing Baalanceas per Cash Book as on 31.03.2023		Rs. 67260615.61
Less: Cash on hand 31.03.2024	196341.00	Rs. 196341.00
Total		Rs. 67064274.61
Add: Un-Cashed Cheques		0.00
Closing Balance as per CFMS P.D.Account as on 31.03.2024		67064274.61

PD account 002

Details	As per Cash Book Rs.
Opening Balance as on 01.04.2023	57715835.00
Receipt for the year 2023-24	65735664.00
Total	123451499.00
Expenditure for 2023-24	62916218.00
Closing Balance as on 31.03.2024	60535281.00

002 Cash Book Reconciliation

Closing Baalanceas per Cash Book as on 31.03.2024		Rs. 60535281.00
Less: Cash on hand 31.03.2024		Rs.1434023.00
Total		Rs. 59101258.00
Add: Un-Cashed Cheques		Rs. 0.00
Closing Balance as per P.D.Account as on 31.03.2024		Rs. 59101258.00

PD account 015

Details	As per Cash Book Rs.	As per CFMS account Rs.
Opening Balance as on 01.04.2023	82696915.88	90196116.00
Receipt for the year 2023-24	21466717.00	21466717.00
Total	104163632.88	111662833.00
Expenditure for 2022-23	0.00	7499200.12
Total	104163632.88	104163632.88
Expenditure for 2023-24	7043405.20	7043405.20
Closing Balance as on 31.03.2024	97120227.68	97120227.68

Re-conciliation for PD account 015

Closing Balance as per Cash Book	Rs.	8,26,96,915.88
Bills presented in 2023-24 but paid in 2023-24		0.00
Add: Un-Cashed Cheques		
Add: Receipt not entered in Cash Book	Rs.	0.00
Closing Balance as per CFMS	Rs.	82696915.88

2. 1) DETAILS OF THE CLOSING BALANCES AS PER THE RECEIPTS AND PAYMENTS STATEMENT AS ON 31-03-2024:

SL.NO	DETAILS	MGF	CGF	TOTAL
1	Cash in Hand 001	196341.00	0.00	
2	Cash at Bank	1434023.00	0.00	
3	Cheque in Hand	0.00	0.00	
	Total	1630364.00	0.00	1630364.00

A) TAX REVENUE RAISED BY THE MUNICIPAL COUNCIL:

The tax revenue consists of property tax, water tax and advertisement tax etc. Tax on property is the main source which constituted the bulk of revenue receipts of Municipal Council during the year. An analysis of tax revenue for the current year and the preceding two years is given below.

Sl. No	Nature of Tax	Collection			Increase/ Decrease with ref. to previous years
		2021-22 (Rs)	2023-24 (Rs)	2023-24 (Rs)	
01.	Property tax	42165347	78488448	5,63,65,538	Decreased
02.	Advertisement tax	655748	1313375	9,81,078	Decreased
03.	Vacant Land Tax	1161214	1702085	17,02,671	Increased
TOTAL		43982309	81503908	5,90,49,287	Decreased

B) NON-TAX REVENUE OF THE MUNICIPAL COUNCIL:

Building rents, leases of markets, slaughter houses, betterment charges etc., form the non-tax revenue and constituted percentage of revenue of the municipal council. An analysis of the non-tax revenue under some principal heads for the year and during the preceding 2 years is given here under.

Sl. No	Item of revenue	Collection			Increase/Decrease with ref. to previous years
		2021-22 (Rs.)	2023-24 (Rs.)	2023-24 (Rs)	
1	Water charges	11310060	12513489	8484914	Decreased
2	Leases of markets	1079378	662020	907500	Increased
3	License fees (D&O Trades)	405975	579551	508725	Decreased
4	Rentals from Shop Rooms & Markets	875000	5612858	2546697	Decreased
5	Encroachment fee	232200	240400	118400	Decreased
6	Leases (Swimming pool)	351830	708190	1365440	Decreased
Total		14254443.00	20316508.00	13931676	Decreased

C) REVENUE RECEIPTS AND ITS ANALYSIS:

The Source of Revenue Receipts during the year was through (1) revenue raised by the Municipal Council (2) receipts from the state Government towards share of entertainment tax, M.V. tax, Land Cess and surcharge on stamp duty etc., (3) Grant-in-aid received from the Government. An analysis of receipts under the above heads during the year along with corresponding figures for the preceding 2 years is given below.

Sl. No	Item of revenue	RECEIPTS		
		2021-22 (Rs.)	2022-23 (Rs.)	2023-24 (Rs.)
01.	Revenue raised by Municipal Council			
	a) Tax Revenue	54636621	8150390	59049287
	b) Non-tax revenue leases, fees and rents etc.,	3613838	20316508	13931676
Total:		58250459	28466898	72980963
02	Receipts from Government			
	a) Entertainment tax	0	0	
	b) Surcharge on stamp duty	7387155	6558015	8077485
	c) P.T.	0	0	
	d) Population Grant	0	0	
Total		7387155	6558015	8077485

BUDGET :

According to rule 8 of the rules relating to the preparation of the budget, allotment and transfer of funds issued with G.O.Ms.No.619, MA., dt.7-10-67, the budget should be submitted to Government through the District Collector and the Director of Municipal Administration, for approval by 31st December of each year for the incoming financial year. The date of submission of the Budget is not available to check whether the Budget was submitted in time or not. Further, the Budget was also not furnished in form-A, appended to the orders in which the above rules were issued.

COMPLIANCE TO AUDIT OBSERVATIONS BY THE COMMISSIONER:

The No. 1456 of Audit objections pending at the beginning of the Year under audit, the no.82 of Audit objections added during the year and the balance left at the close of the year are detailed here under.

S.No	Details	No of Objections	Amount
1	No. of objections pending at the beginning of the year from 1987-88 to 2023-24	1456	23,79,86,616.00
2	No. of objections added during the year through Audit Report of 2023-24	82	69,95,942.00
3	Total	1538	24,49,82,558.00
4	No. of objection settled during the Period from 1.4.2023 to 31.3.2024	0	0.00
5	No. of objections outstanding	1538	24,49,82,558.00

The replies to the audit objections for the year from 1981-82 to 2023-24 together with the resolution of the council have not been sent to the Director of State Audit Department, A.P., Nidhi Bhava, Manglagiri through the Commissioner and Director of Municipal Administration A.P., Guntur as required in G.O.Ms.No.874 M.A. dt:13-11-67. The records do not reveal this observance on the pending objections. The progress of settlement of the objections during the year was NIL.

The Executive authority did not evince much interest in rectifying the defects and settling down the objections

AUDIT OBJECTIONS

PARA NO.1

CODE NO.1

RECONCILIATION NOT DONE BETWEEN CASH BOOK AND TREASURY PASS BOOK - OTHER DEFECTS - NEEDS ACTION: -

According to para 196 of A.P.Budget Manual read with G.O.Ms.No.318, Finance&Planning Department, dated 10.11.1980 and orders of Government issued from time to time, the Departmental expenditure and receipt figures should be got reconciled (Major Head of accounts wise) with those booked by the Treasury every month in order to ensure that no misclassification or wrong accounting of expenditure and receipts took place and also to detect fraudulent draws if any.

A) As verified from the cash books, the reconciliation between cash books and treasury pass books, bank pass books was not done during the year 2023-24. The cash books which were maintained in the Municipal Council (all schemes and funds) were not closed monthly and not even annually under the hand and seal of the Commissioner. The closing balance was also not arrived by monthly and annually. In the absence of the maintenance of the cash books and their regular and proper closing could not be verified in audit. Immediately the reconciliation between cash book and pass books (treasury and bank pass books), monthly and annual abstracts would need to be arrived and fact intimated to audit.

B) The treasury receipts were not taken into cash book and cash book was written based on the transactions held as per the CFMS statements. If any irregularities come to light in the above transaction or loss if any occasioned would need to be made good from the person or persons responsible. As such the classification of the receipt could not be known in audit. The challan wise receipts were also not noted in rough posting register along with posting register. As such the arrived figures of the annual account could not be checked and verified in audit. The executive authority could not explain in audit as to how the figures were arrived in the annual account.

C) The amounts at Credit Balance under each Head of Account shown in the Trail Balance were not taken into Annual Receipt and Payment Statement. As verified with the Trail Balance, it is arrived that an amount of Rs.9,53,71,728.30 has not been taken into Receipt and Payment Statement. The comparison is detailed here under and it is highly irregular on the Account part.

Sl. No	Head of Account	Code No.	As per Annual Accounts	Receipts as per the Registers maintained in the Office	Difference
				Rs.	Rs.
1	1100101	Properties- General Tax	52568354.50	56365538.00	3797183.5
2	1100102	Vacant Land Tax	1400868.00	1702671.00	301803.00
3	1100103	State Govt. Properties	0.00	0.00	0.00
4	1100105	Central Government Undertaken	0.00	0.00	0.00
5	1100106	Service charges in Lieu of	0.00	0.00	0.00
6	1100201	Properties- Water Tax	0.00	0.00	0.00
7	1100301	Properties- Sewerage Tax	0.00	0.00	0.00
8	1100800	Tax on Animals	0.00	0.00	0.00

9	1101199	Advt. Tax - Others	1430028.00	1430028.00	0.00
10	1108001	Tax on Cell Towers	0.00	0.00	0.00
11	1108002	Tax on Cell Towers	0.00	0.00	0.00
12	1109004	Early Payment Rebate	-621173.00	-162773.00	0.00
13	1201001	Surcharge on Stamp Duty for Transfer of Immovable Properties	13368240.00	8077485.00	-5290755.00
14	1201002	Entertainment Tax	0.00	0.00	0.00
15	1201003	Profession Tax	0.00	0.00	0.00
16	1201005	Share in Tax demand	0.00	0.00	0.00
17	1201006	Seignorage Charges	0.00	0.00	0.00
18	1202002	Motor vehicles Tax	0.00	0.00	0.00
19	1203001	Property Tax compensations due to concessions to taxpayers	0.00	0.00	0.00
20	1301001	Rent from Markets	850000.00	907500.00	57500.00
21	1301002	Rent from Auditoriums	0.00	0.00	0.00
22	1301003	Rent from Function/Community Halls	0.00	0.00	0.00
23	1301004	Playgrounds	0.00	0.00	0.00
24	1301005	Staff Quarters	0.00	0.00	0.00
25	1301007	Slaughter house rent	0.00	0.00	0.00
26	1301010	Lease/Rent from Parking	0.00	0.00	0.00
27	1301015	Rent from Shopping Complexes	2325493.00	2546697	221204.00
28	1301016	Rent from School Grounds	0.00	0.00	0.00
29	1301021	Lease from Fish Tanks	45658.00	45658.00	0.00
30	1301022	Road Margin Lease	0.00	0.00	0.00
31	1302002	Rent from Private Offices	0.00	0.00	0.00
32	1303001	Guest House	0.00	0.00	0.00
33	1308000	Other Rents	120.00	120.00	0.00
34	1401002	Regn. Charges from Technical Professionals	0.00	0.00	0.00
35	1401003	Regn. Charges from Builders & Developers	0.00	0.00	0.00
36	1401101	Trade License Fees	477150.00	508725	31575.00

37	1401104	Slaughter house	0.00	0.00	0.00
38	1401106	Encroachment Fee	36000.00	118400.00	82400.00
39	1401201	Fee for Layout/Sub division	0.00	0.00	0.00
40	1401202	Building Permit/License Fee	11760435.00	17708340.00	5947905.00
41	1401208	Fee for Festivals and Fairs	0.00	0.00	0.00
42	1401211	Fees for Diwali Shops	0.00	0.00	0.00
43	1401301	Fee for Copy of Plan/Certificate	1530.00	1530.00	0.00
44	1401302	Fee for Birth & Death Certificates	464530.00	464530.00	0.00
45	1401303	Fee for Sanitation Certificate	15000.00	15000.00	0.00
46	1401305	Fee for No House Certificate	0.00	0.00	0.00
47	1401306	Fee for No Due Certificate	0.00	0.00	0.00
48	1401307	Fee for Valuation Certificate	57630.00	57630.00	0.00
49	1401309	Fee for Marriage Certificate	0.00	0.00	0.00
50	1401401	Building Development Charges	0.00	0.00	0.00
51	1401499	Other Town Planning Receipts	0.00	0.00	0.00
52	1401501	Building Regularization	0.00	0.00	0.00
53	1402001	Penalty for Un-authorised Construction (TP)	0.00	0.00	0.00
54	1402004	Spot fines	5700.00	5700.00	0.00
55	1402005	Fine for littering	0.00	0.00	0.00
56	1402006	Late fee for Birth & Death Regn.	0.00	0.00	0.00
57	1402010	Interest on PT Late Payment	1001174.00	0.00	-1001174.00
58	1402014	Interest on shop room rents	62264.00	0.00	-62264.00
59	1402015	Penalty on Trade License Late Payment	31075.00	0.00	-31075.00
60	1402020	Audit Recoveries from Contractors	0.00	0.00	0.00

61	1402021	Penalty on Unauthorized Water Connections	0.00	0.00	0.00
62	1404005	Survey fees	6510.00	6510.00	0.00
63	1404009	Mutation Fees	1132150.00	1101290.00	-30860.00
64	1404011	Fee under RTI Act	1096.00	1096.00	0.00
65	1404012	Encroachment Fees for cable	0.00	0.00	0.00
66	1404013	Tap Re open Fee	0.00	0.00	0.00
67	1404014	Land Conversion Fee	0.00	0.00	0.00
68	1404015	Building Application Fee	0.00	0.00	0.00
69	1404016	BPS Application Fee	0.00	0.00	0.00
70	1404019	Connection/Disconnection charges (Sewerage)	0.00	0.00	0.00
71	1405005	Garbage Collection Charges	21270.00	21270.00	0.00
72	1405013	Water Supply - Non-Metered	0.00	0.00	0.00
73	1405015	Water Tanker Charges	60150.00	77952.00	17802.00
74	1405016	Water Meter	0.00	0.00	0.00
75	1405019	Water Supply - Bulk	0.00	0.00	0.00
76	1405024	Quality Control Charges	0.00	0.00	0.00
77	1405028	Animal Catching Charges	0.00	0.00	0.00
78	1405040	User Fee for Garbage collection under CLAP Programme	5880.0	11880.00	6000.00
79	1406001	Parks Entry Fees	0.00	0.00	0.00
80	1406003	Swimming pool Entry Fees	1365440.00	1365440.00	0.00
81	1406005	Museum	0.00	0.00	0.00
82	1407001	Road Cutting & Restoration Charges	0.00	0.00	0.00
83	1407009	Fee for NOC of Public Health Section	16000.00	16000.00	0.00
84	1407010	Fee for NOC of Town Planning Section	0.00	0.00	0.00
85	1407011	Water Supply Tap Estimation Charges	295965.00	0.00	-295965.00

86	1407012	Water Supply Tap Repair Charges	17050.00	17050.00	0.00
87	1407013	PS Chargess	0.00	0.00	0.00
88	1407014	Water Supply Tap Shifting Charges	400.00	400.00	0.00
89	1407015	Drainage Estimation Charges	0.00	0.00	0.00
90	1407016	Drainage Repair Charges	0.00	0.00	0.00
91	1407026	Building Material Encroachment Fee	0.00	0.00	0.00
92	1408001	Compounding fee	0.00	0.00	0.00
93	1501001	Sale of Tree-Guards	0.00	0.00	0.00
94	1501101	Sale of Tender Schedules	1400.00	1400.00	0.00
95	1501202	Sale of Scrap	668670.00	668670.00	0.00
96	1601099	Other Revenue Grants	1408043.00	0.00	-1408043.00
97	1603002	Contribution for National Slum Development Project	0.00	0.00	0.00
98	1603005	water supply tap donation	1328024.00	1748789.00	420765.00
99	1603006	sewerage donation	0.00	0.00	0.00
100	1708001	Income from investments	0.00	0.00	0.00
101	1711001	Interest on Savings Bank Accounts	824409.00	824409.00	0.00
102	1801002	Rental Deposits Forfeited	0.00	0.00	0.00
103	1802004	Claims from Insurance Companies for Furniture	0.00	0.00	0.00
104	1804001	Recovery of Excess Fuel Usage from Employees	0.00	0.00	0.00
105	1806006	Water Charges	7389173.00	8484914.00	1095741.00
106	1806099	Other Excess Provisions Written Back	0.00	0.00	0.00
107	1808005	Other Penalties	1200.00	1200.00	0.00
108	1808006	Other Income Un Classified	56527.00	56527.00	0.00
109	3125002	Prior Period Items	0.00	0.00	0.00
110	3201020	XV Finance Commession	0.00	45139274.00	45139274.00
111	3202056	street Vendors	0.00	0.00	0.00
112	3208020	Good will from Shops	0.00	0.00	0.00

113	3401001	Ernest Money Deposit	0.00	0.00	0.00
114	3401003	Further Security Deposits	0.00	0.00	0.00
115	3402001	Rental Deposits	0.00	0.00	0.00
116	3402002	Security Deposits	0.00	0.00	0.00
117	3501001	Suppliers Payables	0.00	0.00	0.00
118	3501002	Contractors Payables	0.00	0.00	0.00
119	3501003	Expenses Payables	0.00	0.00	0.00
120	3501101	GIS	0.00	0.00	0.00
121	3502004	Profession Tax	0.00	0.00	0.00
122	3202005	APGLI	0.00	0.00	0.00
123	3502015	Labour Cess	0.00	0.00	0.00
124	3502016	Employee Provident Fund	0.00	0.00	0.00
125	3502017	Employee State Insurance	0.00	0.00	0.00
126	3502025	TDS from Contractors	0.00	0.00	0.00
127	3502026	GST	0.00	0.00	0.00
128	3502027	Service Tax on Rents	0.00	0.00	0.00
129	3502033	Third Party Quality Control	0.00	0.00	0.00
130	3502034	SGST on Rents	0.00	0.00	0.00
131	3502035	CGST on Rents	0.00	0.00	0.00
132	3502052	VAT/Works Contract Tax	0.00	0.00	0.00
133	3502055	NAC	0.00	0.00	0.00
134	3502056	Seignorage Charges	0.00	0.00	0.00
135	3502057	TDS Payable Interest	0.00	0.00	0.00
136	3502058	OtherRecoveries From Contractors	0.00	0.00	0.00
137	3502064	SGST on TDS	0.00	0.00	0.00
138	3502065	CGST on TDS	0.00	0.00	0.00
139	3502078	EHF	0.00	0.00	0.00
140	3502079	ZP GPF	0.00	0.00	0.00
141	3502080	TDS	0.00	0.00	0.00
142	3503001	Library Cess	0.00	0.00	0.00
143	3503088	Library Cess Payable Control A/c (Cr)	0.00	0.00	0.00

144	3504101	Property Tax Advance Collection	0.00	0.00	0.00
145	3504104	Rent Advance Collection	0.00	0.00	0.00
146	3504106	Water Charges Advance Collection	0.00	0.00	0.00
147	3508005	Election deposit from candidates	0.00	0.00	0.00
		Total	99879433.5	149336850.00	48999016.5

In the absence of the above information the correctness of the annual account could not be verified with reference to cash book and pass books in audit.

Para No.2

Code No.2

EXPENDITURE INCURRED IN EXCESS OVER BUDGETARY PROVISION:

In respect of following items, expenditure was incurred in excess of the approved Budget Provisions during the year under audit. Sanction / ratification from the competent authority should be obtained for the excess expenditure incurred shown in the column No.5 of the given table and the same may be produced to audit at the earliest.

CODE	Expenditure Details	As per Approved Budget Provisions	Expenditure incurred as per Annual Accounts	Expenditure Over Budget Provision
1	2	3	4	5
2101011	NMR Wages to Workers	46500000.00	41178502.00	5321498.00
2201001	Ward Secretariat Rents	900000.00	776092.00	123908.00
2201101	CC LT Charges (Ward Secretariat)	450000.00	420288.00	29712.00
2201201	Telephone Charges	150000.00	1931.00	148069.00
2201202	Mobile Charges	150000.00	105570.00	44430.00
2201204	Internet Charges	200000.00	163944.00	36056.00
2205101	Lawer Fees	480000.00	555000.00	-75000.00
2202101	Printing Charges	200000.00	47450.00	152550.00
2202102	Stationary	400000.00	103068.00	296932.00
2202104	Postage	15000.00	4945.00	10055.00
2205202	e-filing Charges	200000.00	23540.00	176460.00
2305910	ERP User Charges	250000.00	184165.00	65835.00
2206001	Advertisements	700000.00	310567.00	389433.00
2206004	Mike announcement for PT	80000.00	46000.00	34000.00
2208099	Other Administration Expenses	600000.00	617974.00	-17974.00
2301001	CC LT Charges	2000000.00	5344830.00	-3344830.00
2301002	Electricity Charges (Water Supply)	6000000.00	10138016.00	-4138016.00
2301004	Oil Charges (Engg Section)	3600000.00	4237831.00	-637831.00
2302001	Sanitation/Conservancy Material	500000.00	1244120.00	-744120.00
2302004	Water Supply Material	200000.00	533309.00	-333309.00

2304002	O & M Car Hire Charges	550000.00	1512779.50	-962779.50
2305001	Repairs & Maintenance	300000.00	64415.00	235585.00
2305005	Water Supply lines repairs & Maintenance	1200000.00	2628195.49	-1428195.49
2305009	Street Lights Charges & Maintenance	5900000.00	4620175.00	1279825.00
2305012	Solid Waste Management-Repairs and Maintenance	300000.00	50000.00	250000.00
2305014	Dumping Yard –Repairs and Maintenance	1000000.00	827893.51	172106.49
2305027	CC Culverts –Repairs and Maintenance	100000.00	108599.60	-8599.60
2305028	Shifting of poles and Transformers Charges	2200000.00	2010932.00	189068.00
2305106	Swimming pools _Repairs and Maintenance	700000.00	2089640.00	-1389640.00
2305112	Avenue and other plantations –Repairs and Maintenance	400000.00	495600.00	-95600.00
2305199	Other Civil Amenities – Repairs and maintenance	200000.00	1011779.96	-811779.36
2305203	Office Buildings –Repairs and Maintenance	4500000.00	578263.57	3921736.43
2305299	Other Buildings –Repairs and Maintenance	300000.00	46832.00	253168.00
2305301	Heavy Vehicle & Repairs	800000.00	904013.00	-104013.00
2305902	Computers and Net work –Repairs and Maintenance	350000.00	112780.00	237220.00
2305999	Other Repairs and Maintenance	200000.00	152511.03	47488.97
2308004	Water purification-Repairs and Maintenance	1200000.00	791567.00	408433.00
2308018	Removing Silt at Major Drains	300000.00	511651.86	-211651.86
2308099	Other Operating and Maintenance Expenses	200000.00	356977.00	-156977.00
2407001	Miscellaneous Bank Charges	265.50	265.50	0.00
2501001	Local Body Elections	2000000.00	49497.00	1950503.00
2501002	MLA/MP Elections	0.00	30090.00	-30090.00
2502099	Other Programme Expenses	200000.00	1168111.00	-968111.00
	GRAND TOTAL	86475268.5	86159715.02	315560.08

SCHEME FUNDS - AMOUNTS KEPT IDLE - UNSPENT BALANCES NOT REMITTED

The CDMA Hyderabad vide circular No Roc No PDA/c /CDMA/2012 Dt:13.10.12 issued instructions to all the Municipal Commissioners in the state to close all the non-operative accounts and FDRs which were opened without any orders of the higher authorities and transfer the available balances to the PD A/c No -001-and after transferring those amounts separate cash book and other necessary record shall be maintained for reconciliation and issue of UCs. The ULBs shall maintain a Master Cash Book for the Head wise and scheme wise transactions etc., and before the transfer and closing of accounts, it shall be informed to the Municipal Council for recording in the Minutes.

During the course of audit, it was observed that this Mpl. Council has opened following saving bank accounts without any permission from the competent authority for depositing of funds received for implementation of the schemes sanctioned by the GOI and Go AP. The following scheme funds were kept idle with banks. No transactions were conducted during the year under audit. The Executive Authority would need to take immediate action to remit the unspent balance amounts which were kept idle with the banks, to the heads concerned and the result may be intimated to audit.

Therefore action would need to be taken either to utilize the funds for the purpose for which they were granted as per guide lines of the Govt. issued from time to time immediately or need to be refunded to the concerned Grant distributing agency immediately under intimation to audit.

Sl.No.	Name of the Scheme	Balance
1	Andhra Bank, Kandukur A/c No.30410011020567	970955.30
2	Syndicate Bank of India, Kandukur A/c No.19041054889	5961565.00
3	SWATCHA ANDHRA Corporation A/c No.915010030603761	6027801.01
4	Urban Primary Health Centre A/c No.91004736812	3260829.00
	Total:	16221150.31

EARMARKED MUNICIPAL COUNCIL FUNDS FOR THE WELFARE OF S.Cs S.T-s AND W& C.W. -PARTICULARS NOT POINTED OUT:

In G.O.Ms No. 41 dt. 24-01-77, instructions were issued to earmark the Municipal Corporation funds @15%, 4% and 5% for the welfare of S.C.s and S.Ts and Women and Child Welfare respectively. In Government Memo.No.3811/42/77-4,M.A. dated 02-11-78, it was also classified that the welfare schemes for the S.C.s S.Ts and women & Child welfare contained in the aforesaid Government order have to be met at the proportion specified above from out of the developmental expenditure of the Corporation. But the details of amount earmarked at 15%, 4% & 5% from out of the developmental expenditure apportioned by the Kandukur Municipal Council for the year 2023-24 and the expenditure incurred were not furnished inspite of similar defects had been pointed out in the Audit Reports of the Previous years and this year also.

Action would therefore need to be taken immediately to maintain a separate register furnishing the particulars therein to watch whether the funds for welfare of S.Cs and S.Ts and W&C.W were earmarked and utilized properly for their welfare as envisaged in the Government orders referred to above.

PARA NO.05**CODE NO.07****TIME BARRED TAXES AND FEES:**

The arrears of taxes and fees relating to the year 2019-20 which were allowed to be time barred by limitation of time prescribed under section 365(1) of the A.P. Municipalities Act, 1965 during the current financial year. According to section 365 (2) of the A.P. Municipal Act 1965, it is the duty of the Commissioner to place before the council a list of arrears due to the Municipal Council which are likely to become time barred, at least one year before the limitation stating the reasons for the non-collection of such taxes and seek instructions of the council in regard to recovery of such taxes. According to section 365(3), if the Commissioner fails to submit such list or omits or show in such list any arrears due to failure on the part of bill collector to any other employee as the case may be, is deemed to be negligent and action under the section 374(1) of the Act for the recovery of all such recoveries should be taken against him. Record showing the placement of the matter before the council in respect of the taxes and fees which are allowed to become time barred was not pointed out. Under section 374(1) the loss caused to the Municipality due to the above defect has been assessed for an amount of **Rs.7,47,77,691.50** under Property Tax and made good from the persons responsible. Further it was noticed in audit that though elaborate procedure was prescribed in rules to take action on the taxes likely to become barred by time in practice the Arrear demand registers were not being maintained to quantify the taxes that are likely to be barred by time. This deficiency of not maintaining the ADRs relating various taxes and non-taxes is resulting in the inability of the MC even to quantify the loss on account of barring by limitation of time.

Name	Assessment Count	Demand			Collection	Balance				
		Arrear Property TaxPenalty	Current Property Tax Penalty	Total Demand	Total Collection Arrear/Current	Arrear Property Tax	Penalty On Arrear	Current Property Tax	Penalty On Current	Total PropertyTax Balance
Property Tax										
2020-21	15,862	7,52,75,658	3,80,36,521	11,33,12,179	3,97,73,835	2,69,68,081	3,60,23,716	95,22,800.50	10,23,747	7,35,38,344.50
2021-22	15,950	7,62,74,805	3,73,03,247	11,35,78,052	1,52,27,109	3,37,61,257	4,03,14,748	2,36,35,565.24	6,39,374	9,83,50,944.24
2022-23	15,417	5,17,15,421	4,64,49,095	9,81,64,516	5,13,59,209	1,57,92,704	2,34,36,900	59,70,425.24	6,72,303	4,58,72,332.24
2023-24	15,312	4,22,48,582	5,09,68,421	9,32,17,003	2,76,56,574	1,70,20,314	2,25,58,631	2,36,86,527	22,94,958	6,55,60,430
Vacant Land Tax										
2020-21	527	13,85,271	6,80,393	20,65,664	8,26,317	5,88,777	3,18,677	3,00,217	31,676	12,39,347
2021-22	690	19,72,889	9,05,042	28,77,931	8,98,281	9,68,601	4,54,654	5,38,847	17,548	19,79,650
2022-23	748	26,77,312	10,98,178	37,75,490	15,08,442	10,44,941	7,07,177	4,55,883	50,872	22,58,873
2023-24	808	32,41,342	13,42,050	45,83,392	14,45,470	13,56,524	9,31,949	7,79,787	69,662	31,37,922

PARA NO.06

CODE NO.07

PUBLIC HEALTH SECTION - TAX ON DOGS - NOT LEVIED - LOSS TO THE MUNICIPAL COUNCIL REVENUE - NEEDS ACTION:

According to the Section 248 of the APHMC, Act.1955 read with Section 14 of the Andhra Pradesh Municipal Council Act.1994.

- A Tax not exceeding Rs.10-00 per annum shall be levied on every dog kept within the city and under the age of six months.
- Every person who owns or in charge of any dog on which a tax in leviable under sub-section, shall be liable for tax.
- Every person who owns or in in-charge of any dog shall, before the First day of the month May in each financial year forwarded to the Commissioner a return signed by him containing his name and address and the age of such dog.
- The tax shall be payable for every financial year in advance on the first day of in the month of May.
- The commissioner shall maintain a register showing the persons liable to pay the Tax under this Section.

But in this connection no such register was maintained and no tax was levied on dogs, which caused loss to the revenue of the Council. Therefore necessary steps have to be taken to levy the tax on dogs and report compliance to audit.

Para No:07

Code No.7

D & O Trade License -Inactive Trade Licenses were not collected and no action was taken-Needs Early Action.

Rs: 198425.00

During the course audit, it is noticed that the trade licenses in the municipality ERP login were checked and such licenses were made inactive for the year 2023-24 with huge arrears. Such inactive licenses should be closed first through closure application. But the audit did not show that any action was taken by the concerned municipal authorities. This will cause loss to the municipality. Therefore concerned personnel should

take appropriate action and close the inactive trade licenses. Details of dues are given below.

Sl.No.	No. of Inactive Licenses	Demand	Collection	Balance
1	260	6,20,638	4,22,213	1,98,425

The loss if any sustained in this regard would need to be recovered from the person/persons responsible and made good to the Institution funds.

PARA NO.08

CODE NO.07

GARBAGE - COLLECTION OF MUNICIPAL SOLID WASTE - NON-COLLECTION OF USER FEE:

The garbage is generated daily from different categories like domestic house hold, slaughter house, domestic hospitals/clinics, hotels and restaurants, vegetable markets and private commercial complexes etc.

According to Municipal Solid Waste Rules,2000 the user fee for collection of Municipal Solid Waste from different categories shall be collected as per the rates fixed as detailed below.

Sl. No.	Establishment particulars Assessment	Units for	Rate
1.	Hospitals and Nursing Homes etc.	Bed Strength	Up o 10 beds Rs.300/- per month 10-25 beds Rs.500/- per month Above 25 beds Rs.1000/- per month
2.	Diagnostic Centres	Flat Rate	Rs.100/- per month
4.	Restaurants and hotels (eating establishments) including mess homes, Tiffin centres fast food centres, bakeries etc.	Tonnage of garbage generated	Per tone per day Rs.200/- and collection is monthly. Minimum charges are Rs.500/- per month for hotels and restaurants and Rs.200/- for mess homes and fast food centres.
5.	Function halls and lodges and private guest houses including clubs etc.	Tonnage of garbage generated	Rs.200/- per tone per day. Collection will be monthly. However, no charges for days when these are not used.
6.	Private Markets including agriculture markets	Tonnage of garbage generated	Minimum charge will be in two slabs Rs.500/- and Rs.1000/- basing on the area of location and the level of business. Rs.200/- per tone. The total tones lifted in the month are calculated and charges levied accordingly.

7.	Private commercial complexes with and more shops inside	No. of shops existing inside the complex. Up to 20 Shops 20 to 50 shops More than 50 shops	Rs. 200/- Rs.500/- Rs.750/-
8.	Private hostels	Tonnage of garbage generated	Rs.200/- per tone. Total tonnage lifted in the month is calculated and charges fixed accordingly. Minimum charge Rs.500/- per month.
9.	Cinema halls and places of entertainment	Flat Rate	Rs.500/- per month
10.	Road side vegetable vendor addas and road side weekly markets (if not garbage included in local market Auctions)	Tonnage of garbage generated	Rs.200/- per tone. Minimum monthly charge Rs.500/-
11.	Certain selected types of work shops, small industries like saw-mills, furniture charges making units, dress manufacturing units, foot wear manufacturing units and coconut trade units and wholesale fruit units etc.	Tonnage of garbage generated	Rs.200 per tone. Total tonnage lifted in the month is calculated and levied accordingly. Minimum monthly charge Rs.300/-

But, an amount of **Rs. 54,555.00** was collected under user fees for collection of Municipal solid waste during 2023-24. Further, the information regarding how much tonnage of garbage generated per day and how many numbers of categories established in Municipal area etc. was not made available in audit. Early action would need to be taken to collect the garbage tax at the rates noted above and so raise the revenue of the municipality.

ParaNo.09

CODE NO.7

CELL PHONE TOWERS - INSTALLATION OF CELL PHONE TOWERS - PERMIT FEE NOT COLLECTED - NEEDS EARLY ACTION

RS: 6,00,000/-

According to the Government orders issued in G.O. MS.No183MA & UD Dept dated 27.2.2008 read with G.O. MS.No2 MA & UD Dept dated 1.1.2013, G.O. MS.No4MA & UD Dept dated 2.1.2013 and G.O. MS.No380MA & UD Dept dated 1.8.2013 all the cellular companies , tele services and telecom companies shall obtain permission from the concerned local authority for their existing installations and also proposal installations both the land based and roof top towers duly paying the permit fee and charges as prescribed by the government.

As verified from the records available, it was observed that there are 12 cell towers have already been installed by the various cellular companies with in the municipal area without obtaining permission from the municipal council as detailed below. However, The permit fee was not paid by the cellular company at the rate fixed by the government. In the absence of the same, the loss caused amounting to **Rs. 600000.00** to the municipal council. Immediate action would need to be taken to realize the amount and credited to the institution funds.

Sl.No	Name of the cellular company	Location of the cell tower installed	Amount of permit fee due
1	IDEA	Vara parlavaripalem	50000 -00
2	VODA FONE	Kovur Road	50000-00
3	AIRTEL	Noncharamma colony	50000-00
4	VODA FONE	Machavaram Road	50000-00
5	IDEA	Pamur Road	50000-00
6	RELIANCE	Park Road	50000-00
7	TATA DOCOMO	Park Road	50000-00
8	BSNL	Post office Center	50000-00
9	BSNL	Near TRR.College	50000-00
10	AIRTEL	Neat State Bank Hyderabad	50000-00
11	AIRTEL	Santhosh Nagar	50000-00
12	IDEA	Revenew colony	50000-00
	TOTAL		600000-00

PARA NO.10

CODE NO. 7

PUBLIC HEALTH SECTION - LICENSE FEES UNDER D&O TRADE RATES NOT REVISED:

As per G.O.Ms No. 59 (Edn.,& Health) dt. 12-06-55 the rates of license fees under D&O trades shall have to be revised once in 3 Years, so that the collections under license fees are collected as per the value of the income and expenditure in issue of licenses and supervision on traders. In that case a notice has to be issued for levying license fees. It was not made known during the audit scrutiny whether such revision had taken place duly following the procedure laid down and collections made in accordance with such revised rates. Loss if any occurred to the Municipal Council General Funds due to non-revision /non -collection of L.C. at such revised rates shall have to be ascertained and recovered from the persons responsible.

ADVANCES - PENDING ADJUSTMENT - NEEDS RECOVERY.

As verified from the Advances recoverable register, the following advances relating to personal advances, and interest bearing advances were pending adjustment up to 31-03-2024 as detailed below.

S. No.	Nature of Advance	Opening Balance	Advances Issued during the year	Total	Recovered during the year	Closing Balance
1	2	3	4	5	6	7
1	Marriage Advance	179749.00	0.00	179749.00	0.00	179749.00
2	Vehicle Advance	40438.00	0.00	40438.00	0.00	40438.00
3	Other Advance	150000.00	0.00	200000.00	0.00	200000.00

According to GO.Ms.No.120 Plg& Local Admn dept II Dt.01-09-1960 read with Article 99 of Financial Code Volume-I. The personal advances sanctioned should have been recovered in easy instalments fixed. Subsequently, to the month of drawl of the advances regularly from the pay bills of the establishment. But the personal advances were not recovered accordingly and they were kept pending adjustment.

Early action would need to be taken to get the advances adjusted to the funds of Kandukur Municipal Council by taking suitable action in this regard.

NON-RECEIPT OF PERCAPITA GRANT

In spite of audit objection raised in the previous year audit reports, the authorities have not taken any action against thereon receipt of Population Grant. As per para 3.58 (Non-plan grants from Govt. of AP) of Hand Book on Municipal Financial Accountability, the Municipality has to receive per capita grant at the rate of Rs.8 per head of population. The municipality can utilize these grants for ordinary expenditure and to meet basic financial requirements.

Scrutiny of records revealed that no per capita grant was received by the Kandukur Municipality during 2023-24 and the population Grant has to be adjusted an amount of **Rs.4,85,376.00** as detailed below.

Population as per census 2011: **60672 X 8 =4,85,376.00**

PUBLIC HEALTH SECTION - COMPOST - COMPOST MANURE PITS NOT AUCTIONED:

During the course of audit, it was noticed that compost manure pits were not auctioned resulting in loss to the Municipal council funds. Action would need to be taken for auction of the compost manure pits and credit the sale proceeds to the Municipal Council Funds.

PROPERTY TAX - CERTAIN DEFECTS NOTICED:

During the course of audit on the Property tax, the authorities of this Municipality have not followed the instructions issued in Circular Roc.No.6238/2015/K3 Dt.28.4.2017 of the Director of Municipal Administration AP as detailed below

I.CURRENT YEAR DEMAND REGISTERS NOT MAINTAINED:

Under tax related revenues, the most important registers are Demand Registers. The registers in respect of House Tax contains the details regarding House Number, Assessment Number, Name of the Owner, Annual Rental Value, Amount of tax levied on the house (Demand), Collection (Month wise), Write Off of tax (if any) and Balance (amount of tax remained uncollected at the end of the year). The amount remained as balance at the end of a year becomes arrear demand of the following year. But the same was not followed and no demand register was maintained for the year 2023-24. When the same was questioned in audit the authorities have stated that due to implementation of ERP no manual register was maintained. But the reply is not tangible as the entire demand register can be downloaded at the end of every year from the ERP and can be produced at the time of audit.

II.GOVERNMENT OFFICES LOCATED IN PRIVATE BUILDINGS AND PAYING RENT TO OWNERS - REGISTERS NOT MAINTAINED:

Information relating to Govt. Offices located in private buildings was not available to verify whether property Tax was levied as per the rents paid by Government offices to the building owners. A register containing Government offices located in private buildings should be maintained so as to verify whether Property Tax was being levied as per the rent paid by the Government Offices or not and in order to prevent leakage of revenue to the Municipality similarly a register containing Central and State Government Offices located in their own buildings also needs to be maintained so as to verify the correctness of levy of Property Tax as per rules relating to levy and collection of the P.T on Government buildings.

III.PROPERTY TAX ASSESSMENT FILES NOT MAINTAINED- MLs VERIFIED WITH REFERENCE TO DATA AVAILABLE IN ONLINE:

Property tax of all assessments were fixed through MLs in respect of all the new and additional assessments etc., Elaborate procedure was prescribed to fix the property tax in Circular instructions issued in Cir.-1 in Roc.No.11646/2006-F1-1 Dated 12-12-2006 of CDMA, AP, Hyderabad The measurements entered in the MLs with regard to the buildings assessed by the Bill Collectors were to be verified by the RI & RO and finally approved by the Addl. Commissioner and orders to be passed. Though M.L. register produced, the assessment files maintained if any were not produced to audit to verify the correctness of the same. The same was requested through Half Margin letter LrSA(M.C).No.13/2020-21, Dt.15.5.2020. But some of the files were not produced. Hence the same could not be verified. In some cases, Building Applications approved on or before 2017 were not available in online.

The M.Ls were verified with reference to the data available in the Online. While cross checking the Plinth areas noted in the ML with the Plinth areas approved in the Building Applications (as noted in the ERP) it was noticed that the built-up area is more in ML register than in the approved Plan. But percentage of U.C. Penalty was not imposed, in some instances it was less imposed. Hence loss of Revenue occurred to the Municipality. Some of the instances are enclosed here with. Immediate action would need to be taken to enquire on this matter and revise the tax where ever necessary to recoup the loss occurred so far to this Corporation and report the compliance to audit.

IV.REGISTER OF REVISION PETITIONS AND APPEALS ALONG WITH FILES NOT FURNISHED:

The records relating to the revision petitions received and allowed were not produced to audit. Hence it could not be verified in audit whether RPs were allowed or not if allowed whether the same was done as per rules and eligibility or not could not be verified. Further it was noticed that the window for modification was being allowed in the month of April by the e- Suvidha for a predetermined period and there was no assurance in audit that in the said period only RPs allowed by the Commissioner were modified as the system allows modification of any of the assessments there was scope for misuse of the facility more so when the DEO was operating all the three logins of the DEO, RO, RI and the Addl. Commissioner. The Executive Authority would need to produce the same to audit for verification.

V.REGISTER OF REMISSIONS AND WRITEOFFS NOT PRODUCED

The records relating to the remissions and writes off allowed were not produced to audit. It was not made known as to how much was allowed as remissions and writes off in the financial year 2023-24. In the absence of the same the quantum of remission and write off and whether the same was allowed as per the provisions of the Act or not could not be verified in audit. The same would need to be produced immediately.

VI.MUTATION REGISTER NOT PRODUCED:

During the course of audit the register containing all the permanent changes made either by the Commissioner or by the Appellant Authority in the assessment of house and land taxes after the demand registers for the tax concerned was written up for the year was not maintained and produced, in the absence of the same whether the procedure prescribed in arriving at the changes in the assessments were made and recorded properly or not could not be checked in audit. This important register may be maintained and produced to audit.

VII. REGISTER OF BUILDINGS EXEMPTED FROM THE PAYMENT OF PROPERTY TAX - NOT MAINTAINED:

The register of buildings exempted from payment of property tax up to the year 2023-24 was not maintained and produced to audit for verification. In the absence of the same, it could not be ensured in audit whether such buildings were assessed to other taxes/charges such as water tax, drainage tax and primary service charges etc. Early action would, therefore, need to be taken to get the register written up and maintained up to date.

VIII.PROPERTY TAX COLLECTION MADE DURING THIS YEAR- NON-AVAILABILITY OF YEAR WISE & CATEGORY WISE INFORMATION:

During the year under audit, it was noticed that for the property tax collections made by means of online, E-seva, Civic Centre etc., the year wise, category details of the collections made were not made available for verification in audit. The tax pending collection at the end of the year 31.3.2024 for the year 2023-24 was also not available. If tax is realized as per the targets, it is possible to undertake developmental works on large scale by this Municipal Council.

IX. INFORMATION NOT FURNISHED REGARDING PROPERTY TAX- NEEDS MAINTAINED:

The Revenue Officer/Revenue Inspectors and the Bill Collectors shall in their capacities undertake field visits within their jurisdiction for detection of any un-authorized constructions and other properties which were yet to be identified and brought under the Property Tax net. The property tax shall be levied for every half year and it is the duty of the assesses to pay it within 30 days after the commencement of each half year 30th April/31st of October. In this regard the records of such visits or any details of properties identified were not maintained in this Municipal Council, Kandukur. Loss, if any sustained by the institution due to non-collection of tax within time specified as per Municipal Act, the Executive Authority will have to be held responsible.

X.SPECIAL NOTICES ISSUED - NOT AVAILABLE

In case of all the new and additional assessments made during the financial year were entered in the ERP and the special notices generated should be issued through the bill collectors concerned. But there was no assurance in audit that all the notices were issued in time by the bill collectors concerned. The special notice number and the date of issue had to be entered in the ML at Col.No.45 and 46 respectively but the details were not being entered in the MLs in majority of the cases. Further the revenue section authorities were not maintained the copies of the special notices generated. In the absence the same the correctness of the procedure prescribed as per the rules were followed or not and the timely issuance of the notices could not be verified in audit.

Therefore immediate action would need to be taken to maintain all the said registers and rectify the above defects and report the compliance to audit. Else the loss if any sustained in this regard would need to be assessed and made good from the person or persons responsible and credited to Municipal Funds under intimation to audit.

MUNICIPAL FUNDS - UTILISATION OF MUNICIPAL FUNDS IN SLUM AREAS FOR WATER SUPPLY AND SANITATION - GOVERNMENT INSTRUCTIONS NOT FOLLOWED:

The Govt. in their G.O.Ms.No. 265 MA&UD(K2) Dept. dt: 19.7.04 have instructed all the Municipalities to spend at least 40% of the net funds available in slum areas giving priority for provision of water supply and sanitation besides earmarking compulsory expenditure of 15% of all the budget expenditure for the welfare of SC-s and 7.5% expenditure for the welfare of S.Ts in addition to 5% of reservation of funds for the welfare of Women & Children. However, as verified from the connected record and the Annual account for 2023-24 no such expenditure has been earmarked and expenditure incurred thus violating the Govt. instructions which is highly irregular.

As per the instructions issued in the G.O. cited 40% of the funds available i.e. **Rs. 1,03,64,820.58** has to be spent for water supply and sanitation in slum areas. But this has not been done, thus defeating the purpose of instructions of the Govt. Further, the records do not reveal the observance of Govt. instructions regarding earmarking of funds for the welfare of SC-s(15%), ST-s(7.5%) and W&CW(5%). This is highly objectionable and would have a negative effect on the welfare measures of the Govt. immediate action is called for in this regard.

TOWN PLANNING ENCROACHMENT FEES - LEVIED AND COLLECTED WITHOUT RECORDING MEASUREMENTS - IRREGULAR.

On verification of the encroachment fees register (temporary) it was noticed that the encroachment fees of **Rs.1,18,400.00** was levied and collected without recording the measurements in respect of encroachments. It was not known as to how the encroachment fees were levied without recording the measurements. In the absence of the measurements, the correctness of the fees levied could not be checked in audit. Measurements and the rates would need to be noted invariably to arrive at a correct figure under the encroachment fees. If any loss caused due to above lapse it would need to be made good by the persons responsible.

REGISTER OF BUILDING APPLICATION - MAINTENANCE DEFECTS:-

As seen from the register of building applications maintained for the year 2023-24 the following defects are noticed in audit.

1. In column no 15 the dates of completion of building were not noted duly obtaining the completion reports.
2. All the columns in the register were not filled in with appropriate Information or particulars.
3. Challan no & date in respect of building fees paid in respect of each case were not noted.

4. Compounding fees levied and collected were not noted.
5. Further action taken for the renewal of license fee the building not Completed within one year
from the date of granting the same was not noted.
6. Renewal of license of any granted and fees collected was not noted.
7. Objectionable constructions were not taken to unauthorized construction register and further action not watched through it.
8. Monthly reports from building inspectors were not obtained and produced for audit.
9. Register of unauthorized constructions was not produced for audit.
10. As seen from the building applications the challans where fin the fees paid were not enclosed.

In the absence of the above details whether the building newly constructed were property assessed to property any in time or not could not be verified in audit.

PARA NO.18

CODE NO.09

OBSERVATIONS ON VACANT LAND TAX:

Non identification of vacant plots for levy: Section 85(3) of the Municipalities Act, 1965 read with instructions issued by Govt. of AP provides for levy of a tax on vacant lands in Municipal limits@ 0.20% per annum of the capital value of the site/land. The levy of Vacant Land Tax has been neglected by the Municipalities even though this is a potential source of income. But the collection of Vacant Land Tax is indeed difficult in view of the difficulty in finding the actual owners of the site. This information can possibly be obtained from the Registration Department.

- The Municipal Council had not made any effort for identification of vacant lands and not prepared area wise vacant land lists for collection of Vacant Land Tax.
- Even though the Vacant Land Tax was being collected by the Town Planning Wing at the time of giving approvals for Building constructions for the previous 3 years, the fee thus collected was not being accounted for under the Vacant Land Tax. The Municipal Council urgently needs to identify all the vacant sites Within the Municipal Council limits.

As such the Municipal Council need to review all the outstanding Vacant Land Tax cases along with town planning records and the actual position ascertained. A fresh DCB for Vacant Land Tax may be prepared and furnished to audit.

PARA NO.19

CODE NO.09

NON- ISSUANCE OF OCCUPANCY CERTIFICATE AND CONSEQUENT LOSS:

Occupancy Certificate shall be mandatory for all buildings and unless such certificate has been granted by the sanctioning authority no person shall occupy or allow any other person to occupy any building or part of the building. The Property owner-s consequent upon completion of the construction have to intimate the Municipality of the same in the prescribed proforma to facilitate the ULB to issue occupancy certificate and

levy of PT. It was observed that there was no such arrangement indicating failure of the Municipality in enforcing the provisions laid down. Government have issued G.O.Ms.No.168 MA&UD(M) Department Dated 07.04.2012 and as per Rule 26(d) the rate of compounding fee shall be equivalent to 100% of the value of the land as fixed by the Registration Department at the time of compounding for the violated portion. As the files concerned were not produced to audit the observance of the rules issued in the said G.O by the ULB could not be checked in audit.

Further clause -g- under Rule 26 of GO.Ms.No.168 MA & UD (M) Dept. dated:07-04-2012 the functional/line agencies shall not give regular connections of power, water, sewerage etc., unless such occupancy certificate is produced or alternatively may charge three times the tariff till such time occupancy certificate is produced. It was noticed in audit that in most of the cases the said connections were given even without issuing the occupancy certificate and normal tariffs are charged.

Thus non production of building application files to audit would give scope for non-detection of such irregularities which cause huge loss to the income of the ULBs.

PARA NO.20

CODE NO.09

TOWN PLANNING - ON-LINE BUILDING APPLICATIONS - CERTAIN DEFECTS NOTICED - NEEDS ACTION:

During the course of Audit of Town Planning wing it was noticed that the following defects were found in verification of Town Planning Applications:

1. There is no mechanism in identifying the application, whether is it belongs to - Approved Lay Out- or belongs to -Un-Authorized Lay Out- to impose 14% charges.

Some of the Plans are uploading in un visible conditions. It is getting difficulty to verify the measurements with the measurements which were furnished in the applications.

PARA NO.21

CODE NO.09

NON-REMITTANCE OF EDUCATION CESS BY MUNICIPALITY - NEEDS ACTION:

As per section 37(1) of the Andhra Pradesh Education Act,1982 any Municipal Council may, with the previous sanction of the Government, and shall if so directed by them, levy within its jurisdiction, taxes for the purposes of this Act, at such rates as may be considered necessary, as an addition to the taxation levied in the Municipality under the A.P. Municipalities Act,1965 under the head of property tax or profession tax or under both these heads. Govt. of A.P. GAD(V&E) dept., vide alert note no.38, dated 14.03.2005, directed the ULBs to remit the Education Cess arrears to the Officers concerned.

It was observed that no amount was remitted to Education Cess to the competent authority so far. Reasons if any were not explained to audit as to why the Education Cess was not remitted so far. Immediately the executive authority would need to take good steps to remit education Cess at an early time.

NON -PAYMENT OF ROYALTY CHARGES:

As per G.O.Ms.No.1276 Revenue (M) Dept, dated 30-11-76 every municipality is liable to pay the royalty charges to the government, for the water used by it. Accordingly, the engineering authorities of irrigation department were raising demands for the same against the Municipality. However, the Municipality had not allocated any budget for the payment of royalty charges. The demands raised by the engineering authorities were not consolidated and the actual demand, payment and outstanding amounts were not made available in audit.

WATER CESS NOT PAID TO AP POLLUTION CONTROL BOARD - NEEDS PAID:

As per Section 3 of Water (Prevention and Control of Pollution) Cess Act-1977, water cess is to be paid on the quantity of Water supplied for domestic purpose. Further as per the provisions contained in the said Act all the ULB-s have to file the water cess returns duty mentioning the water supplied by ULB-s for domestic purpose.

The AP Pollution Control Board (APPCB) has to issue Amendments orders based on the water supply figures to be furnished by ULB-s as required under Sub-Section(i) of section 5 of the Act and the Sub-rule(i) of Rule 4 of the water (P&C of Pollution) Cess Rules 1978.

As per Section 12 of the said Act any amount due under this Act including any interest or penalty payable u/s 10 or 11 as the case maybe from any local authority may be recovered by the Assisting Authority (APPCB) in the same manner as if it were an arrear of land revenue.

The CDMA of Hyderabad under Lr.RC.No.2189/2009/E1, dt.09.03.2005 and Lr.Rc.No.962-1/2010/H, dt.29.03.2010 requested all the Regional Directors - cum Appellate Commissioners of Municipal Administration and all Municipal Commissioners to pay water cess to APPCB as per the provisions of Act.

During the course of audit, it was observed that no amount was paid to the AP Pollution Control Board towards water cess so far. As verified from the file no correspondence was made with the Irrigation Department for furnishing information. In this regard if any penalty is imposed by APPCB, the said penalty will have to be recovered from the person or person responsible.

NON OBSERVANCE OF CODAL PROVISIONS IN RESPECT OF MAINTENANCE OF WATER CHARGES RECORDS – NEEDS ACTION:-

Under the Provisions of Part V of AP Municipalities Act 1965 read with AP Municipalities (water supply House Service Connection) Rules 1977, the Council has to sanction a water connection to every individual or firm industry applied for supply of water safe drinking water by levying and collecting appropriates fees/donations/monthly consumption charges etc., as resolved by the council in accordance with the Government orders issued from time to time. The revenues on account of monthly water consumption charges shall be collected in the manner prescribed in the AP Municipalities Accounting Manual and posted against the individual assessment to arrive at the arrears against each assessment/connections.

The ULB has to prepare the demand register in the beginning of a financial year indicating the current year demand along with arrear demand.

During the test check, audit observed that the ULB had not maintained consolidated demand register in respect of all water connections given, in the absence of which audit could not verify the arrears in respect of each water connections. Further no demand notices were issued for each assess in the beginning of every half year assessment.

Due to non-fixing of water meters, the possibility of loss of revenue to the ULB on account of consumption of water in excess of normal limits from these water connections also cannot be ruled out.

ENCROACHMENTS – CLASSIFICATIONS NOT DONE:

The list of encroachments in the Municipal area was not got prepared by the Municipal surveyor / Building inspector and verified by the Commissioner. The encroachments were not got classified as objectionable and non-objectionable by the Municipal Commissioner and got approved by the Municipal council and the District Collector. All the objectionable encroachments have to be licensed under section 193 of the Act duly collecting the requisite fee. No separate demand was fixed which was not correct. In the absence of proper demand having been fixed with reference to the encroachment list, the correctness of the collections made and balance left could not be ascertained in audit. Immediate action may be taken to rectify the defect.

**TOWN PLANNING - CONSTRUCTION OR RECONSTRUCTION OF BUILDINGS
PERMISSIONS GRANTED COMPLETION REPORT NOT OBTAINED - IRREGULAR:-**

On verification of the reports of building applications, no proper action has been taken to obtain and produce the completion reports of the building constructions and issue of occupancy certificates during the year **2023-24**. The date of commencement and completion of the constructions were not furnished to audit. In the absence of the above information, the correctness of the building application fees collected and property tax levied could not be verified in audit. The loss if any sustained in this regard would need to be recovered from the person/persons responsible and made good to the Institution funds.

PARA NO. 27

CODE NO 9

**TOWN PLANNING - NON-LEVY OF ADVERTISEMENT TAX ON ADVERTISEMENTS
EXHIBITED FOR PUBLIC VIEW THROUGH CABLE TV IN CONTRAVENTION OF
GOVERNMENT ORDERS:**

As per the Government order GO Ms.No.266, MA&UD (TC I) department, dated 5-5-2000, where in Government have amended Andhra Pradesh Municipalities (Advertisement Tax) Rules, 1967 by adding an item 7B in the schedule after item 7A regarding Advertisement Tax on electronic media including cable TV, advertisement tax shall be collected from the cable TV operators at 10% on the rates charged by the advertisers in respect of the advertisements exhibited for public view through cable TV.

It was observed during the scrutiny of the records that the advertisement tax on advertisements exhibited for public view through cable TV collectable at 10% of advertisement charges collected by the cable TV operators is not being levied and realized though the GO was issued in the year 2000. Non-initiating of necessary action as per the GO till to date is not in order.

Reasons for non-compliance of the provisions of the GO Ms.No.266, MA&UD, dated 5-5-2000 and details of steps proposed for collection of advertisement tax from cable TV operators were not made available in the records produced to audit.

Compliance in this regard may be furnished to audit.

PARA NO. 28

CODE NO.9

**TOWN PLANNING - ADVERTISEMENTS - EXHIBITED WITHOUT WRITTEN
PERMISSION OF THE COMMISSIONER - FINE NOT IMPOSED - LOSS TO THE
MUNICIPALITY REVENUE- NEEDS ACTION:**

According to the sec 421 of APHC Act 1995 read with sec 14 of APMC Act 1994, No person shall without the written permission of the Commissioner, erect, exhibit, fill or retain any advertisement whether now existing or new upon any land, building, wall, hoarding or structure'. The word 'structure' in this section shall include, a tram car, omni bus and any other vehicle and any movable board used primarily as an advertisement or an advertising medium.

Further, according to Municipal Act, for exhibiting an advertisement without permission, a fine up to Rs.1,000 can be imposed and in no case, it shall be not less than Rs.500.

On verification of the records relating to tax on advertisement, it was noticed that applications received and permissions issued to erect, exhibit, fix or retain the advertisements for which tax was levied during the year **2023-24** were not furnished to audit. Therefore, it was construed that, those advertisements were not noticed during the inspections of the town planning personnel. As the advertisements were exhibited without the written permission of the Commissioner, fine has to be imposed from Rs.500 to 1,000 on the owners of those advertisements. But the same was not imposed and the Municipal body suffered loss of revenue to that extent. Therefore, action would need to be taken to impose fine and report compliance to audit.

PARA NO. 29

CODE NO.9

**TOWN PLANNING –DISPLAY DEVICE FEE – IMPROPER MAINTENANCE OF RECORDS
- NEEDS RECTIFICATION:**

On verification of records of advertisement tax for the year **2023-24**, it was noticed that the records for the Display Device Fee that is list of applications received for the year **2023-24** from the advertisers who sought to display the boards, hoardings, sign boards etc and the file regarding the script, size and designs of the advertisements displayed were not maintained. According to rule 4 (1) (2) (3) of Display Device Fee Rules, 1967, the applications must be submitted to the commissioner, not less than seven clear days before the advertisement is to be displayed. The duplicate copies of the permission must be retained. But the information regarding those applications for which the permissions were given was not produced to audit. In the absence of above information, the distinction between authorized and un-authorized advertisements could not be obtained, As a result the actual demand of the advertisement tax could not be ensured.

Therefore the records regarding applications received, approved and sizes of the advertisement must be maintained as ‘Display Device Fee’ is one of permanent sources of revenue. The persons concerned along with the executive are totally responsible for improper maintenance of records as per A.P. Financial Code Art. 273.

Para No.30

Code No.10(117)

**LIBRARY CESS NOT REMITTED TO ZILLA GRANDHALAYA SAMSTHA, NELLORE,
SPSR NELLORE DISTRICT:**

Rs. 28,25,606.00

As per section 20(1) of the A.P. Public Libraries Act, 1960, every Zilla Grandhalaya Samstha shall levy in its area a Library Cess in the form of surcharge on the Property Tax levied in such area under the relevant laws providing for the levy of such property tax, at the rate of eight paise for every rupee in the property tax so levied.

As per section 20(2) of the said Act, the cess levied under sub section (1) shall be collected by the respective Nagara Panchayat having jurisdiction.

As per the minutes of the meeting held in the chambers of Principal Secretary, Finance (W&P) on 26-4-05, communicated vide Lr.No.1288/B214/A1/Exp(M&F)/05, Dt.27-4-2005 of Finance Department, it was decided that the cess collected by the Local bodies will be retained by them and the equal amount will be deducted at State Level from the grants payable to them from the Government based on the tax collection particulars in the previous financial year and will be adjusted in the account of the Grandhalaya

Samsthas at source. Government, in G.O.Ms.No.68, Education (SE.Lib.1) Dept., dt.12-9-2007, have decided to re-introduce the old procedure of remittance prescribed i.e., transfer of Library Cess by concerned local bodies to the concerned Zilla Grandhalaya Samsthas. During 2023-24, total House Tax collection of **Rs. 5,63,65,538.00@** 8% an amount of **Rs. 45,09,243.00** was collected towards Library Cess (current + arrear). But amount of **Rs.16,83,637.00** was remitted to Zilla Grandhalaya Samstha, Nellore, SPSR Nellore District towards Library Cess and the remaining amount of **Rs.28,25,606.00** was outstanding to be remitted to Zilla Grandhalaya Samstha, Nellore.

Para No.31 **Code No.10(118)**

SPORTS TAX AND FIRE TAX NOT REMITTED TO CONCERNED HEADS NEEDS ACTION : **Rs.22,54,621.00**

As per section 12(d)GOMS.No.84 Youth advancement & Cultural Department dated 4-05-2000 and as per Panchayat Raj Rural Development(Pts.I) Department, Vide Memo. No./17129PTS&/A 2014/1dt.18-11-2014,3% Sports Tax and Panchayat Raj Rural Development(Pts.I) Department, vide Memo.No.15843/A1/2014; Dt:03.12.2014 Fire Tax @1% in the form of surcharge on the Property Tax was levied and collected. But during 2023-24, total House Tax collection of **Rs. 5,63,65,538.00**was collected including Sports Tax and Fire tax as detailed below. But the same amount was not remitted to the concerned heads so far. Hence action would need to be taken to remit the following amounts to the concerned heads under intimation to audit.

Sl.No.	Details of Head	Amount
1	2023-24 3%Sports Tax	1690966.00
2	2023-24 1% Fire Tax	563655.00
	Total	2254621.00

ParaNo.32 **Code No.11**

PUBLIC HEALTH SECTION - RECORDS RELATING TO GARBAGE COLLECTION, DUMPING YARDS, TREATMENT OF SOLID WASTE MANAGEMENT, CONSTRUCTION OF COMMUNITY TOILETS ETC., NOT FURNISHED

At the time of audit, the following records relating to Public Health section were not produced to audit. In the absence of the same, the fact of following of rules in implementation of the said functions could not be ascertained during the course of audit. Immediate action may be taken for the production of connected records and files.

1. Door to Door garbage collection covered - ward wise No. of households and commercial units covered under door to door
2. Segregation of waste at collection points (wet, dry hazardous) - whether segregation is being done at source level, if so the % of segregation.
3. Lifting of Garbage - Total garbage generated / lifted per day
4. Dump yards - (i) Whether dump yard is available, if so extent (ii) If no, steps taken to acquire land

5. Treatment of solid waste (i) whether compost plants established. If so, quantity of waste supplied for treatment per day (Qty. in MTS) (ii) Other methods/ techniques adopted for treating the waste and the quantity supplied for treatment per day (iii) Expenditure incurred for establishment of plant for treatment of the waste (iv) Particulars of the products/output derived after treatment (product, Qty., gestation period) (v) particulars of usage of the products/output (vi) Revenue/income accrued from out of the sale/use of by - products after treatment.
6. De-siltation of drains during the year 2014-15 (i) Total length of drain in K.Ms. (ii) Total length of drain cleaned in K.Ms.
7. Construction of IHHLs - Total units sanctioned/completed/progress
8. Construction of community toilets - Total units sanctioned/completed/ progress
9. Construction of public toilets - Total units sanctioned/completed/ progress
10. Slaughter Houses - (i) Total No.of slaughter houses existing (licensed & un-licensed (ii) date by which un-licensed slaughter houses will be closed (iii) whether SH running in accordance with the rules (iv) Total No.of slaughter houses existing (v) Date by which un-licensed slaughter house, if any existing, will be closed (vi) Whether slaughter houses are running in accordance with the rules

Para No. 33

Code No.11

PUBLIC HEALTH SECTION – ISSUE OF NOC AND NO DUE CERTIFICATES – CERTAIN INFORMATION NOT FURNISHED TO AUDIT – NEEDS EARLY ACTION.Rs:16,000.00

During the course of audit an amount of **Rs.16,000.00** was collected to issue of NOC & NO DUE certificates. The relevant files pertaining to issue of NOC & NO DUE Certificates for the year 2023-24 were not produced to audit for verification. Due to the Non-production of the files, the correctness of issuing NOC and NO DUE Certificates for the year 2023-24 could not be verification audit. Action would need to be taken to produce the files relating to NOC & NO DUE Certificates for verification in audit.

ParaNo.34

CODE NO.11

D&O TRADES - ADDITIONS AND OMISSION LISTS NOT MADE AND PRODUCED:

As verified from the D&O trades registers for the year 2023-24 relating to divisions the inclusions and deletions lists of traders for the year 2023-24 were not made and produced to audit. The monthly lists of traders together with applications and inclusion/omissions lists of trader-s with applications were not made and produced to audit. In the absence of the same the correctness of demand can-t be verified in audit. It would need to be maintained and produced to audit early.

Register - Register of M.Books - Maintenance of Register of M.Books - defects noticed - needs early action.

In the course of Audit, It is noticed that the register of M.Books issued were not maintained properly in the year 2023-24.

The following defects were noticed.

1. How many M.Books purchased were not mentioned in the register.
2. While numbering the M.Books serial number not followed.
3. Dual numbers noted for some of the M.Books.
4. M.book issued to whom was not mentioned in the register.

Immediate action would need to be taken to rectify the defects pointed out and produce the M.Books register duly certified by the concerned authorities to Audit for verification.

Due to non-production of the same, loss if any caused, such loss will be made good from the persons responsible.

Para No.36**Code No.11****Register - Register of Vehicles - not maintained - needs immediate early action.**

In the course of Audit, It is noticed that the register of vehicles in the Municipal Corporation, Nellore were not maintained and produced to Audit for verification.

In the absence of same the correctness of the vehicles owned by the Municipal Corporation, Nellore could not be certified in audit and it is held under objection.

Immediate action would need to be taken to maintain and produce the Register of vehicles duly certified by the concerned authorities to Audit for verification.

Due to non-production of the same, loss if any caused, such loss will be made good from the persons responsible.

Para No. 37**Code No.11****TAP CONNECTIONS - Sanction TAP Connections - Connected files Not Produced.**

The Audit on the accounts Kandukur Municipality has been commenced on 06.02.2024 and issued half margin letter regarding the non-production of Tap Connections of BPL/GENERAL/ METER issued during the year 2023-24. The authorities replied orally that the tap connection files completely processed through ward secretariats instead of engineering section.

Though the Auditors issued half margin letter to produce the tap connection files from the ward secretariats, no response was received from the Authorities. In the absence of the files relating to the tap connections the correctness of the tap connections issued and the collection of fees/Donation from the concerned could not be certified in Audit. And the same is held under objection.

Action would need to be taken to produce the tap connection files ward wise along with the demand ward wise to Audit for verification.

Due to non-production of the same, loss if any caused, such loss will be made good from the persons responsible.

ParaNo.38

Code No.11

STOCK REGISTERS NOT PRODUCED:

Every Head of the office should maintain a suitable Stock Registers purchased by him and held in his custody with a view to prevent losses as per Art133 of A.P. Financial Code, Vol I. Separate accounts should be maintained for expendables and non-expendables such as furniture, equipment etc. with details of opening balance of material purchases of material issued, utilized, balance day by day etc. The head of the Office, who was in charge of the expendable stores, should check the same at least once in a year and send a verification to the competent authority. He should also record a certificate of verification in the Register.

But, as verified from the records of the Municipal Corporation, Kakinada, the following important stock registers were not produced for verification in audit. In the absence of these registers the opening balance of the material purchases made during the year, utilized, issued and balance could not be verified in audit.

In the absence of these registers, the stock opening balance, received utilized, necessity of purchases, utilization & balance could not be certified in audit. Loss, if any, sustained due to any irregularities noticed later, the same would need to be made good from the person(s) responsible.

1. Electrical Goods stock register.
2. Engineering stores stock register.
3. P.H. Stock register.
4. P.W.S. stock register.

ParaNo.39

Code No.11

GRANTS RELEASED TO MUNICIPALITY FOR VARIOUS PURPOSES - GRANTS APPROPRIATION REGISTER NOT MAINTAINED.

During the year under audit several grants both statutory and non-statutory were sanctioned and adjusted to Municipality, Kandukur. A separate Register of Appropriation of Grants was not maintained and produced to audit. In the absence of which, it could not be verified in audit, whether the grants released to corporation were utilized properly for the purposes for which they were sanctioned without diversion and within the time allowed for utilization. Action would need to be taken to maintain the Grants Appropriation Register and the un-utilized balance, if any, would need to be refunded to Government and remittance challans produced for audit.

REVENUE SECTION – PLOT MUTATION FEES – CERTAIN INFORMATION NOT FURNISHED TO AUDIT – NEEDS EARLY ACTION.

Rs:11,01,290.00

During the course of audit an amount of **Rs. 11,01,290.00** was collected of Plot Mutation Fees. The relevant files pertaining details to the Plot Mutation Fees for the year 2023-24 were not produced to audit for verification. Due to the Non-production of the files and connected records, the correctness of Plat Mutation Fees for the year 2023-24 could not be verification audit. Action would need to be taken to produce the files relating to the Plat Mutation for verification in audit.

PARA No.41

CODE NO.11

PUBLIC HEALTH SECTION - CONSERVANCY ARTICLES - INDENT ORDER / LETTERS -NOT OBTAINED AND PRODUCED:

As verified from the Public Health Conservancy Articles Stock Register many articles were issued to the Sanitary Inspector/ Maistry of Public Health Section during the year 2023-24. But the Indents/ orders / letters were not obtained and produced to audit for verification.

In the absence of the above indent orders / letters the correctness of the issue and utilization of the articles could not be established. Loss, if any, caused in this regard would need to be made good from the person or persons responsible.

PARA No.42

CODE NO.11

D & O TRADES- MONTHLY LISTS - NOT PRODUCED IRREGULAR:

During the course of audit for the year 2023-24 under D&O trades the monthly lists in inspect of all Divisions were not produced for verification in audit. Loss if any, sustained due to non- production of the monthly lists would need to be made good to the Municipal funds.

PARA No.43

CODE NO.11

PUBLIC HEALTH - D & O TRADES - DELETIONS LIST NOT PRODUCED TO AUDIT - NEEDS ACTION:

As verified from the D&O Trade license fees register, division wise during the year 2023-24, it was noticed that many new licenses were sanctioned. But the details as to of how many licenses were renewed and how many licenses were cancelled, were not produced to audit for verification. The deletions list duly enclosing the stoppage letters from the traders along with council resolution were not produced for verification. It would need to be produced early. In the absence of the deleted list, loss if any caused in this regard would need to be made good from the person or persons responsible.

P.H.WORKERS - SALARIES PAID TO SOCIETIES WORKERS ENGAGED - APPOINTMENT ORDERS ISSUED BY COMPETENT AUTHORITY AND CONTINUATION IN FURTHER SERVICE WITHOUT BREAK-RESOLUTIONS PASSED BY THE MUNICIPAL COUNCIL NOT FURNISHED - PAYMENT OF WAGES -IRREGULAR.

It was noticed in audit; several PH Society workers engaged on sanitation and continued their services for years together without termination. But in support of approved orders issued by the Government, the information regarding the number of posts sanctioned was not furnished to audit. Continuation of their services years together was highly irregular. The same would need to be discontinued hereafter and necessary action shall be taken as per orders now in force to avoid such complications in service matters. In respect of the following PH society workers, salaries were paid during the year under audit, and the regulatory and propriety of the payments made was not appraised to audit. Hence the expenditure incurred was not admitted.

VEHICLES - RELEVANT REGISTERS NOT MAINTAINED AND PRODUCED:

The following were the important registers to be checked in audit of bills relating to maintenance of Vehicles in Public Health Section.

1. Log book
2. Register showing the repairs, replacements etc.,
3. Register showing the cost of Petrol, Oil etc.,
4. Register of Inventory of equipment
5. Hire charges payment Registers.
6. Registers of old parts collected after replacement
7. Register of Accidents

1. Log Book: During the course of audit the following procedure was followed or not

1. That all the entries in the relevant columns in the log books were made
2. That the entries in log book were noted by the Officer who used the vehicle in his own hand, writing the mileage at the start and at the completion of their trips after verifying kilometres.
3. That Sufficient particular were recorded regarding movements and purpose to indicate that the journeys were on Official business.
4. That the log book in respect of each Vehicle was closed at the end of the month and a summary prepared in the logbook showing details of duty and non-duty journeys performed during the month in the prescribed proforma.
5. That the quantity of petrol, diesel oil purchased has been entered in the log book of the respective vehicle.
6. That the hire charges collected as per hire charges payment register have been entered in the concerned log book.

7. That the log book was scrutinized personally by the authority concerned, once in a month and his signature appended therein.
 8. That the log books were written in the prescribed proforma with full details.
- II. Register showing the repairs, replacements, spare parts etc., Due to non-production of these registers it could not be verified in audit whether the following prescribed procedure was followed.
1. That the voucher No. and date and nature of repairs etc., together with amount were noted in the appropriate columns of the register.
 2. That in the case of replacements etc., the old parts were disposed off in Public Auction noted and the sale proceeds credited to Municipal funds.
 3. That in case of purchase of spare parts, the rules relating to the invitations and disposal of tenders have been observed.
 4. Register showing the cost of petrol, Oil etc., Due to non-production of this register, it could not verify in audit Whether the following prescribed procedure was followed or not.
 1. That the details of expenditure incurred towards cost of Petrol, Oil etc., have been entered with reference to the voucher No. and date and the amount covered for the same.
 2. That the consumption of the petrol, oil etc., date wise, has been entered therein.
 3. That in respect of the contingent bills for the supply of petrol, diesel oil, and the following certificates has been recorded by the authority concerned on the bills. Certified that quantities purchased have been entered in the log books of the respective vehicles. Certified that necessary recoveries under rules have been made from the parties concerned to the institution.
 4. That the mileage run by the vehicle at particular period as per log book was in accordance with the issues of petrol and oil shown in this register.
 5. That the propulsion charges or cost of fuel etc., received if any from the person who used the vehicle on non-duty have been issued to the parties.
 6. That the register was periodically checked by the concerned authority and a certificate to that effect has been recovered.
 7. Register of inventory of equipment. Due to non-production of this register, it could not be verified in audit whether the following prescribed procedure was followed or not.
 1. That the nature of equipment purchased has been entered in this register together with the date of purchase and price etc., as per voucher.
 2. That the inventory of equipment has been checked by the concerned authority every month and a certificate to that effect has been recorded therein.
 3. That the Loss if any arising out of negligence or fault of any person has been recovered and credited to the funds.

PARA NO.46

CODE NO.11

DETAILS OF BOOK ADJUSTMENTS - NOT RECORDED IN CASH BOOKS AND ACCOUNT POSING REGISTER.

As verified from the cash book, it was noticed that the details of book adjustments, treasury receipts, the details of MRs were not recorded in cash book. The total lump sum figures relating to MRs were exhibited in Chitta. In the absence of the details of book adjustments, the credits of adjustments in the respective accounts, the receipts could not be verified in audit.

WATER SUPPLY - NEW CONNECTIONS APPLICATIONS NOT PRODUCED.

During verification of the water supply connection registers, and tap donations received register maintained relating to the water supply through new connections, the individual applications and connected files along with sanction proceedings were not produced to audit. In the absence of the connected applications and sanction proceedings along with all relevant files, the correctness of the new connections, fee collected could not be verified in audit. Loss if any, sustained on this count would need to be recovered and remitted to the municipal funds under intimation to audit.

PARA NO.48**CODE NO.11****VACANCY REMISSION REGISTERS - NOT PRODUCED:**

During the course of audit, the register of vacancy remissions were not produced for verification in audit. In absence of the same, it could not be verified in audit whether the following conditions on which the remission of property tax could be granted were fulfilled.

The building should be vacant and unlet for a considerable period of 36 or more days in the half year.

- i. There should be a notice of vacancy from the owner either in that half year or in the proceeding half year indicating the period of vacancy.
- ii. There should be a demand for remission of tax either in that half year or in the succeeding half year.
- iii. The amount of remission shall be proportional to the period of vacancy and it shall not exceed half of the amount of tax.

Hence the above register would need to be written up and produced to audit early for verifying whether the above conditions were fulfilled.

PARA NO.49**CODE NO.11****ADMINISTRATIVE REPORTS OF THE MUNICIPALITY NOT PRODUCED - NEEDS ACTION:**

Under the provision of Section 34 of A.P.Municipalities Act,1965, Council should submit as soon as may be after the first day of April in every year and not later than such date as may be fixed by the Govt. through the District Collector, a report on the administration of the Municipality during the preceding year in such form and with such details as the Govt., may direct, if the Collector makes any remarks on the report such remarks shall be forwarded to the council, and council shall be entitled within such time as the Govt., may fix, to offer or make such explanations or observations as the council thinks fit.

The Commissioner shall prepare the report and submit to the council. The Council shall consider the report and forward it to Govt. with its resolution, if any.

The report and resolution, if any shall be published in the manner as the council may direct, subject to approval of the Government. Action would need to be taken to prepare administrative reports and produce to audit.

PARA NO.50

CODE NO.11

ENCROACHMENT FEES -CURRENT DEMAND REGISTERS NOT MAINTAINEDAND PRODUCED:

The register of encroachment fee (current) provides a record of all encroachments identified, and demand, collection and balance of license fees from objectionable encroachments. This register provides information for 5 years.

Similarly, the Arrear Demand Register provides record of all balances of encroachments fees outstanding at the end of the year. But the above registers were not maintained and produced to audit. However, an amount of **Rs.1,18,400.00** was shown as collection towards encroachment fees, during the year under audit. Since the above registers were not maintained, the accuracy of the amounts collected could not be verified in audit. Hence, immediate action may be taken to maintain the register (MF.No.197) duly incorporating the required information. Any further delay in this regard would cause serious loss to the funds of Municipal council.

PARA NO.51

CODE NO.11

ENGINEERING SECTION - WORKS - VARIOUS WORKS CHECK MEASUREMENT REGISTER NOT PRODUCED:

During the course of audit, it was noticed that the works executed by Kandukur Municipality for the year 2023-24, A register of works/supplies to be check-measured by the concerned authorities should be maintained by the Deputy Executive engineer to watch that all the bills for which check-measurement has been dealt with. The register should contain such columns apart from the following information.

- 01. Serial Number
- 02. Name of work/supplies
- 03. Date of measurement by the Section Officer
- 04. Date of receipt of bill from the Asst., Engineer/Assistant Executive Engineer
- 05. Date of check measurement
- 06. Remarks

MISCELLEANEOUS - LEASES - MISCELLANEOUS DEMAND REGISTER AND ARREAR DEMAND REGISTER NOT PREOUCED:

During the course of audit, it was noticed that the Demand and Arrear Demand Registers for the year 2023-24 were not produced to audit. Hence, the collection of miscellaneous leases correctness could not be verified the following information.

- 01. Details of shop Rooms leased in each shopping complex, vacant if any etc.,
- 02. Name of the Tenant, Lease period, Deposit/Solvency amount collected, Rent per month/Collection of rent during the year 2023-24 and balance.
- 03. Details of Lease holders for Municipal Markets, Lease Period Lead amount, collection during the year, Balance as on 31.03.2024.
- 04. Abstract of DCB recorded and certified.
- 05. As the Arrear Demand Register was not produced the total amount of lease pending (arrear and current) time barred amount could not be arrived at.

In view of the above details of lease holders lease period, lease amount collected during the year for the current and arrears years balance could not be checked and certified in audit.

TOWN PLANNING - REGISTER OF PROHIBITED AREAS NOT PRODUCED - NEEDS PRODUCTION;

According to the rule to of collection of Advt. Tax and regulation of Advertisements in Municipalities vide G.O.MS.No.472 MA Dated 21.7.1967, the Commissioner shall notify the places where the hoardings and advertisements should not be erected and to that effect the particulars are to be recorded in a register. But the register was not maintained and produced to audit for verification which as a result impeded the audit to verify the particulars there of. Hence action is needed to get the register prepared and to be produced to audit for verification.

TOWN PLANNING - REGISTER OF LAYOUTS NOT FURNISHED – IRREGULAR:

During the course of audit on the accounts of Town planning section for the year **2023-24**, the Register of layouts was not produced to audit. According to Rule 4 of A.P.Town Planing Act 120 and APM Layout rules 1970 every municipality may adopt town planning schedule which deals with the layout (a) relaying out land rather vacant (or) already built up as building site (or) for any other purpose mentioned on this Act. In the absence of the layout register the genuineness of the building permission could not be verified and the rate at which the betterment charges collected could also not be verified. Hence, action would need to be taken to get the layout register and produced to audit and the loss if any sustained to the municipal corporation would need to be recovered from the person(s) responsible.

TOWN PLANNING - BUILDING FEES COLLECTED - COMPLETION REPORT OF THE BUILDING NOT FURNISHED - NEEDS EARLY ACTION:

As verified from the building application Permit/license fees register and files, building Permit/license fees an amount **Rs. 1,77,08,340.00** was collected during year under audit. But the completion reports for the building from the building Inspector / supervisors of the municipality were not obtained and produced to audit for verification. Due to the lapse, the cross check i.e., whether the vacant land tax and property taxes are levied properly or not could not be verified in audit.

Due to this irregularity, if any amount is foregone the same would need to be collected and recovered from the person(s) responsible and remit to municipal funds under intimation to audit.

Para No.56**Code No.11****PUBLIC HEALTH -D & O TRADES - ORDER COPIES OF NEW LICENSES ISSUED DURING THE YEAR 2023-24 NOT PRODUCED TO AUDIT - NEEDS ACTION :**

During the course of audit, it was informed that many new licenses have been issued to the traders during the year under report. But the connected files containing traders request applications, sanction orders and copies of licenses issued etc., were not produced to audit for verification. In the absence of the same, the correctness of the entries recorded in the Demand registers regarding new licenses could not be ascertained in audit. Action would need to be taken to produce the relevant files for verification in audit.

Para No.57**Code No.11****PUBLIC HEALTH - D&O TRADERS-ALL DIVISIONS COLLECTION REGISTERS NOT PRODUCED**

D & O Traders All Divisions Collection Registers for the year 2023-24 not produced for audit verification. In the absence of non-production/written of the Registers the collection shown in the Annual account could not be ascertained in audit. No coercive steps were taken to written the all-Division collection Register, like recovery through distraint, prosecution, fitting suits as laid down under section 365 of AP Municipal Act 1965, have been taken to avoid loss to Municipal Council funds, these taxes could not be covered now and as such constituted, loss which will have to be made good from the person or persons responsible.

Para No.58**Code No.11****PUBLIC HEALTH -D & O TRADES- MONTHLY LISTS - NOT PRODUCED IRREGULAR: -**

During the course of audit for the year 2023-24 under D&O trades, the monthly lists in respect of all Divisions were not produced for verification in audit. Loss if any, sustained due to non-production of the monthly lists would need to be made good to the Municipal funds.

PUBLIC HEALTH SECTION - RECORDS RELATING TO GARBAGE COLLECTION, DUMPING YARDS, TREATMENT OF SOLID WASTE MANAGEMENT, CONSTRUCTION OF COMMUNITY TOILETS ETC., NOT FURNISHED:

Even after repeated requests made, the following records were not produced to audit for verification. In the absence of the same, the fact of following of rules in implementation of the said functions could not be ascertained during the course of audit. Immediate action may be taken for the production of connected records and files.

1. Door to Door garbage collection covered - ward wise No. of house holds and commercial units covered under door to door

2. Segregation of waste at collection points (wet, dry hazardous) - whether segregation is being done at source level, if so the % of segregation.

3. Lifting of Garbage - Total garbage generated / lifted per day

4. Dump yards - (i) Whether dump yard is available, if so extent (ii) If no, steps taken to acquire land

5. Treatment of solid waste (i) whether compost plants established. If so, quantity of waste supplied for treatment per day (Qty. in MTS) (ii) Other methods/ techniques adopted for treating the waste and the quantity supplied for treatment per day (iii) Expenditure incurred for establishment of plant for treatment of the waste (iv) particulars of the products/output derived after treatment (product, Qty., gestation period) (v) particulars of usage of the products/output (vi) Revenue/income accrued from out of the sale/use of by - products after treatment.

6. Desiltation of drains during the year 2023-24 (i) Total length of drain in K.Ms. (ii) Total length of drain cleaned in K.Ms.

7. Construction of IHHLs - Total units sanctioned/completed/progress

8. Construction of community toilets - Total units sanctioned/completed/ progress

9. Construction of public toilets - Total units sanctioned/completed/ progress

10. Slaughter Houses - (i) Total No.of slaughter houses existing (licensed & un-licensed (ii) date by which un-licensed slaughter houses will be closed (iii) whether SH running in accordance with the rules (iv) Total No.of slaughter houses existing (v) Date by which un-licensed slaughter house, if any existing, will be closed (vi) Whether slaughter houses are running in accordance with the rules.

PARA NO.60**Code No.11****PROHIBITORY PROPERTY WATCH REGISTER WAS NOT MAINTAINED:-**

Model building Bye laws 2016 of Govt. of India & Andhra Pradesh Building Rules 2017 and G.O.Ms.No.119MA&UD (M) Dept, Dt. 28-03-2017, the Owner is required to hand over the 10% built up area in any approved floor shall be mortgaged, as the case may be to the sanctioning authority by way of a notarized affidavit/registered mortgage deed. The notarized affidavit / Registered mortgage deed shall be got entered by the sanctioning authority in the Prohibitory Property Watch Register. Then only the building sanction will

be released. But, herewith Prohibitory Property Watch Register was not maintained. Immediate action may be taken to rectify the defect.

PARA NO.61

CODE NO 11

TOWN PLANNING - ENCROACHMENT FEE- CONNECTED RECORDS AND DCB NOT PRODUCED - IRREGULAR:-

As verified from the receipts and charges statement for the year 2023-24 an amount of Rs.**1,18,400.00** was credited to Municipal General Funds towards Encroachment fee during the year 2023-24. In this connection as verified from the demand register of Encroachment Fee for the year 2023-24, the collected amount towards encroachment fee for the year 2023-24 was shown as Demand itself and the same was certified by the Commissioner on 31.03.2024.

The collection details should be posted in the concerned demand register and to be arrived balances. If any balances are found to be collected the same balances should be collected by the end of the financial year. But collection details were not posted in the demand register. As such the details of the collection amount of Rs.**1,18,400.00** towards encroachment fee could not be known in audit.

During the course of the audit, the following defects were also noticed in the audit.

1. The Town Surveyor and town planning subordinates shall submit a list of encroachments by **30th April** of every year. But the list of encroachments was not prepared by the town planning officers or building inspectors and not certified by the Commissioner and produced for audit.
2. The encroachments were not got classified as objectionable or non-objectionable.
3. The notification for the levy of fees on non-objectionable encroachments was not made available for verification in the audit.
4. The action taken for the removal of objectionable encroachments was not stated in the audit.
5. The sanction of higher authorities was not obtained in respect of encroachments allowed for more than one year.
6. The monthly lists of addition and omission were not at all obtained, from the outdoor staff and produced for audit.
7. Demand notices have to be issued to all encroachers by the end of June of every year requiring them to get a license for the encroachment by paying the prescribed fee within 15 days from the date of service of the notice.

The Demand, Collection, and Balance register, arrear demand register, challan registers, and other connected registers of encroachment fees for the year 2023-24 were not produced to audit for verification. In the absence of the same the correctness of the demand, collection and balance of encroachment fees and arrear demand and correctness of monthly register and other connected registers could not be verified in audit. If any loss is caused in this regard, the same would need to be recovered from the person or person responsible.

TOWN PLANNING - LIST OF UNAUTHORISED LAYOUTS NOT PRODUCED - LOSS NEEDS RECOVERY - MATTER NEEDS INVESTIGATION:

As verified from the building plans in DPMS Login, it was observed that 14% open charges were levied in addition to the regular fee and other charges for obtaining building permits and collected along with the building application from the applicant.

Asper Memo.No. 3181961/M1/2019 Dt:7.2.2020 of the Municipal Administration & Urban Development (M) Department, 14% open charges have to be levied in addition to the regular fee and other charges for obtaining building permission which was constructed in the developed area except the following cases

1. Sites covered by the approved layouts/LRS
2. Sites covered with previous building permissions/BPS, Grama Kantham/ Congested areas
3. Sites covered by existing buildings prior to 1985 with proof.

In this connection, the Town Planning wing was requested several times to produce the following important records for audit.

- a) The list of unauthorized layouts in the Agricultural land which have been converted into residential areas and which have been recorded in the Master Plans of Agricultural Lands.
- b) The list of steps taken by the town planning wing to take over the reserved land from the owners of layouts pending approval which has been permitted by the Director of Town Planning with L.P.Number.
- c) The list of rejected layouts in which the works were started.

The above important records would need to be produced for audit.

- d) As per the norms of APDPS, the authorized / unauthorized layouts were not incorporated in the online system.

This matter needs a thorough investigation. Action would also need to be taken to recover the loss caused to the Municipal funds due to non-taking over of the Reserved Land, Non-recovery of V.L.T charges from the persons or person responsible and should be credited to municipal funds. Action would also need to be taken immediately against the persons who have started the works in rejected layout.

IMMOVABLE PROPERTY - CONSOLIDATED REGISTER OF PROPERTIES NOT MAINTAINED AND STATUS OF THE PROPERTIES NOT FURNISHED:

Consolidated register showing the properties owned by the Municipality was not maintained. Several immovable property registers were produced to audit. The reasons for maintaining so many registers were not furnished. The details of properties acquired were simply noted in the registers. But, the present status of the properties was not noted. In the absence of the same, the details of the buildings, lands, shops, vacant sites etc., owned by the corporation and the properties utilizing by the corporation, properties leased out, properties encroached etc., could not be verified in audit. Action may be taken for the preparation of consolidated register of properties owned by the corporation duly recording the present status, certified and produced to audit for verification.

The details of assets available in the official web site of the Guntur Municipal Corporation are enclosed to the audit report.

Loss, if any, caused due to not safe guarding/non-leasing of assets may be worked out and made good from the person or persons responsible.

REGISTER OF ADVANCES NOT PRODUCED

During the course of audit due to non production of the register of advances, the following items could not be verified in audit.

1. All the advances recoverable were recovered in Election advance or other adjustment bills as entered in the register of advances.
2. The totals were made in each month and monthly recoveries and balance were arrived at.
3. All the adjustments of advances of advances were recorded against original entries.
4. Sanction of Municipal Council was taken of the payment advances sanctioned to the Municipal Officers.

Due to non-production of above register the loss if any, sustained to municipal funds would need to be verified. The same would need to be made good from the concerned and remitted to Municipal Funds under intimation of audit.

REGISTER OF BUILDINGS EXEMPTED FROM THE PAYMENT OF PROPERTY TAX - NOT MAINTAINED AND PRODUCED TO AUDIT.

The register of buildings exempted from payment of property tax during the year 2023-24 was not maintained and produced to audit for verification. In the absence of the same, it could not be ensured in the audit whether such buildings were assessed to other taxes/charges such as water tax, drainage tax, primary service charges, etc.

Early action would, therefore, need to be taken to get the register written up and maintained up to date.

PARA NO.66

CODE NO.11

PROPERTY TAX - GOVERNMENT OFFICES LOCATED IN PRIVATE BUILDINGS AND PAYING RENT TO OWNERS - REGISTERS NOT MAINTAINED AND PRODUCED TO AUDIT.

Information relating to Govt. Offices located in private buildings were not available to verify whether property Tax was levied as per the rents paid by Government offices to the building owners. A register containing Government offices located in private buildings should be maintained so as to verify whether Property Tax was being levied as per the rent paid by the Government Offices or not and in order to prevent leakage of revenue to the Council similarly a register containing Central and State Government Offices located in their own buildings also needs to be maintained so as to verify the correctness of levy of Property Tax as per rules relating to levy and collection of the P.T on Government buildings.

PARA NO.67

CODE NO.11

WATER CHARGES - DEMAND COLLECTION AND BALANCE REGISTERS NOT PRODUCED AND OTHER DEFECTS

Art. 243W read with the Twelfth Schedule of the Constitution (item 5) specifies that the municipality has to perform the function of 'water supply for domestic, industrial and commercial purposes. Accordingly, as per sections 133 to 145 of A.P.M.A,1965 the municipality has to maintain water resources/works, supply and collection water charges for the supply of water through pipes, etc., and also there was a provision in AP Municipalities Act, 1965 for Levy and Collection of water charges for all water supplied under Section 140 in Municipalities as follows. In this connection, the revenues on account of monthly water consumption charges shall be collected in the manner prescribed in the AP Municipalities Accounting Manual and posted against the individual assessment to arrive at the arrears against each assessment/connection given. The ULB has to prepare the demand register at the beginning of a financial year indicating the current year-s demand along with arrear demand.

1. payment shall be made on such basis, at as such times and on such conditions as may be laid down in the bye-laws made by the council, and shall be recoverable in the same manner as the property tax.
2. In particular and without prejudice to the generality of the foregoing power, such bay*laws may-
 - (a) provide for the classification of supply of water under the following categories, namely,
 - (i) supply to residential buildings; (ii) supply to residential hotels: (iii) supply of shops, commercial establishments (other than industrial under takings, restaurants, eating houses, theaters and places of public amusement or entertainment; (iv) supply to industrial undertakings; (v) supply to non-residential buildings onto falling within the scope of the category(ii), category (iii) or category (iv).

- (b) provide for the levy of different rates of charge in respect of water supplied to 'the different categories specified in clause (a)
- (c) in case of supply to residential buildings, lay down the maximum free allowances to be made and the rates of charge to be levied in respect of water supplied in excess of such allowance
- (d) in cases of supply to all buildings lay down that the charges for water supplied shall be based on the number of taps allowed/ quantity of water consumed.

The following defects were noticed during the course of the audit.

1. The government has instructed all the Municipalities to install water meters to the households/commercial building connection except B.P.L. families. But municipality failed to install the water meters to all the domestic household/ commercial building connections. Due to the non-fixing of water meters, the possibility of a loss of revenue to the ULB on account of consumption of water more than normal limits from these water connections also cannot be ruled out. These consumers got the benefit of being charged at a low.
2. The Arrear Demand Register and Current Demand Register for the year 2023-24 were not maintained and produced for verification in the audit. In the absence of the above, the total demand including arrear for the year 2023-24 could not be checked in the audit.
3. As per the Receipts and Payments Statement an amount of **Rs. 8484914.00** was collected towards Water Tax, the connected details were also not furnished for verification in audit. In the absence of the above, the correctness of the collections made and balances if any at the close of the year were not checked in audit.
4. The accumulated dues in this regard caused a huge drain of the resources in the municipality towards making arrangements for providing a regular water supply to the town and also making alternate supplies.
5. The water supply connection register, tap donations received register relating to the water supply through new connections along with individual applications and sanction proceedings along with files were not produced to audit. In the absence of the connected applications and sanction proceedings along with all relevant files, the correctness of the new connections, and the fee collected could not be verified in the audit.

Loss, if any, caused in this regard would need to be recovered from the person or persons responsible. The above defects would need to be rectified and produced to audit early.

SUBSIDIARY STATEMENTS NOT APPENDED TO THE ANNUAL ACCOUNT:

The following subsidiary statements required to be appended to the annual account according to the A.P. Municipal Council (Preparation and submission of accounts and abstracts) Rules 1970 have not been enclosed for verification in audit.

1. Account for showing the transactions of the fund earmarked for expenditure on public health.
2. Statement showing the transaction of the fund earmarked for expenditure on public health.
3. Special Government grant account for capital works or other special purposes.
4. Loan account.
5. Investment account.
6. Loan statement.
7. Statement of liabilities and assets as on 31st March.
8. Statement furnishing particulars about each medical institution.
9. Abstract of account of security and other deposits not in cash for the year under audit.
10. Abstract of account of provident fund truncation for the year under report.
11. Abstract of account deposits in cash for the year under report.
12. Abstract of account of pension-cum-gratuity fund.
13. Abstract of transaction under advances.
14. DCB Statements relating to Property Tax, water Tax etc.,

PARA NO: 69 **CODE NO.11**
LEGAL CHARGES PAID - CONNECTED SUIT REGISTER AND FILE NOT PRODUCED .

As verified from the Cash Book, an amount of **Rs.5,55,000.00** was paid towards legal charges. But the connected suit register and file were not made available for verification.

Due to non-production of the same, it could not be verified in audit whether the following procedure prescribed for maintenance of suit register was followed or not.

That all the suits to which the institution was a party were entered in the register.

- 1) That separate pages were allotted for each suit and that appeals were entered separately giving a cross reference to the original suit.
- 2) That the expenditure incurred on a suit was entered with full details in the appropriate columns of the register
- 3) That advances made to advocates and their adjustments on receipt of detailed bills was written up against the suit concerned
- 4) That particulars regarding, results of the suits, the sum decreed towards suit, costs etc were noted in the appropriate columns of the register
- 5) That recoveries made were also noted in it

- 6) That decrees were not allowed to become time barred and that execution petitions have been filed in time.
- 7) That the progress of suits, execution of decrees and recoveries of Amounts decreed were watched through this register by the institution
- 8) That half yearly returns showing the number of suits pending relating to previous year, number filed during the half year, the number disposed of and the number pending at the end of the half year have been obtained from the pleaders and checked with reference to the entries in this register.
- 9) That amounts decreed have been noted in the miscellaneous demand register with a view to watch their recovery.

Para No.70

Code No.11

LIST OF VACANT SITES POSSESSED BY MUNICIPAL COUNCIL AND PARTICULARS OF MUNICIPAL PROPERTIES AND ITS UTILISATION PARTICULARS – ALONG WITH CONNECTED RECORDS – MATTER NEEDS INVESTIGATION

The Town Planning Officer was requested to produce the particulars of Municipal properties and list of vacant sites possessed by Municipality and its utilization particulars along with connected files to audit. The Town Planning Officer has not responded in as much as submitting the above important information to audit. Immediate action would need to be taken to recover, loss if any sustained to the municipal funds due to non-utilization or mis-utilization of municipal properties from the person or persons responsible and made good to the municipal funds and the remittance particulars pointed out to audit. The important matter needs thorough investigation.

Para No.71

Code No.15

CASH IN HAND AMOUNT NOT REMITTANCE ANY HOA - NEEDS TO BE CREDITED TO THE HEAD OF ACCOUNT CONCERNED:

During the course of Audit, it was noticed that as per an amount of **Rs.16,30,364.00** cash in hand (i.e., HOA001:196341.00 and HOA002 :1434023.00) has not been remitted to any Head of Account since 2023-24. This highly irregular in the part of remittances and keeping away the collections from the Municipal Council Fund without authorization shall not be admitted in Audit. Action would need to be taken in this regard by the executive authority and remit the balance amount which was collected at an early date and to be credited to Municipal Council funds.

PARA NO.72

CODE NO.16

NON-SUBMISSION OF UTILISATION CERTIFICATES:

According to Article 211 (A) of the Andhra Pradesh, Financial Code Vol-I it is the responsibility of the grant receiving authority to furnish U.C. to the grant releasing authority. The Utilization certificates would need to be furnished to the District Audit Officer, State Audit, Nellore in the proforma Prescribed for counter signature. But the

utilization certificates for no accounts for the year 2023-24 were furnished to audit for verification.

The utilization certificates for 15th F.C. Grants for the years 2023-24 were not furnished to audit for verification.

PARA NO 73

CODE NO 18

ENTERTAINMENT TAX FILES RELATING TO CINEMA AND CABLE T.V NOT MAINTAINED :

As per GO.Ms No.1644 Revenue (CT-IV) Department dt.8.11.2006, the levy, assessment, collection and enforcement of Entertainment Tax on Cinema, Cable TV networks shall be vested with commercial Tax Department. According to section 4 of APET Act 1939 (The Act originally passed by the Madras Provincial Legislature as Madras Entertainment Tax Act 1939) 90 percent of the total proceeds of the Entertainment Tax collected in the Municipal area by the CT department is required to be apportioned to the local authority every quarter. But no amount were not adjusted towards Entertainment Tax to this municipality during the year. It was observed from the E.T files relating to Cinema and Cable T.V was not maintained in this municipality. In the absence of the said file the correctness of the adjustment particulars of E.T could not be verified in audit.

ParaNo.74

Code No.18

MUTATION FEES -COLLECTED - REGISTER NOT WRITTEN UP AND PRODUCED

On verification of Account an amount of **Rs:11,01,290.00** was collected during the year. The connected Register for the year was not produced for verification in audit. In the absence of the same correctness of collection could not be verified in audit. Hence early action would need to be taken to produce the said registers for verification in audit. Loss if any caused in this regard would need to be made good from person or persons responsible.

PARA NO.75

CODE NO.18

NON -EXCHANGE OF INFORMATION BETWEEN TOWN PLANNING AND REVENUE SECTION:

The Revenue Wing of the Municipality did not have access to the Building Approvals plans form the town Planning wing as there was no system to furnish copies of approvals by the Town planning Wing to the Revenue Wing for monitoring of the buildings and asses it under PT in accordance with the details therein. The Revenue wing similarly did not follow the procedure to bring to the notice of the Town Planning Wing in respect of buildings that have been constructed unauthorized for taking further necessary action. Details of visits made by the building inspectors for verification of the status of the buildings for which permissions were given were not forthcoming in audit. The U.C. Registers maintained showing the details of the notices given for the deviations noticed and the unauthorized constructions against which action was taken were not produced to assess the work of the town planning wing of the ULB.

Comments on Annual Account

1) CERTAIN TRANSACTIONS NOT CAPTURED - NEEDS TO BE RECTIFIED: During verification of account in ERP, it was noticed that certain transactions were not captured in the account. The details of receipts and expenditure entries that were omitted in the new account when compared with the manual records/registers maintained. As the entries were not captured in the ERP, the Balance Sheet, Income and Expenditure and Receipts and payments statements and Trial Balance account which were arrived at without the entries could not be held to be correct and comprehensive. The same would need to be taken in to the account and revised account be produced to audit early.

2) NON-MAINTENANCE OF REGISTERS PRESCRIBED IN THE MANUAL: The APMAM prescribed maintenance of certain registers and forms. The formats of the books, registers and forms referred to in Table 4.1 of Chapter 4 of APMAM need to be maintained. But it was observed that all the registers and forms were not maintained during the year 2023-24 contrary to the instructions contained in the manual. The registers and forms would need to be maintained and produced to audit for verification of annual account along with the registers.

3) VERIFIED FOBS NOT FURNISHED: The OBs of the respective G.L. accounts were drawn from the OBs provided in the FOBS furnished to audit. The said FOBS was verified and certain material deviations from the instructions envisaged in the APMAM, and instances of under/over stating of value of assets and non-identification of assets etc., were pointed out and communicated to the Executive Authority for rectification. But the said FOBS was not returned duly rectifying the defects pointed out or existed in the FOBS. The annual accounts for the years 2009-10 to 2023-24 furnished were prepared with the OBs as arrived at in the FOBs. Thus, adopting of incorrect OBs rendered the annual account for the year 2009-10 to 2023-24 not reliable and could not be held to reflect the true and fair view of the transactions of the accounting period. In view of the non-rectification/remedying the defects pointed out in FOBS issued to the Municipal Council, persisted in the final accounts of this year 2023-24 also and as such the defects already pointed out in the verified FOBS may be read as part and parcel of this audit report.

4) NON-IDENTIFICATION OF MANY ASSETS: Many assets were not identified in spite of pointing out relevant objections in the FOBS verification report. The Executive Authority of the ULB ought to have shown much more interest in identifying valuable assets and taken steps to include the same in the Balance Sheet.

5) RECEIVABLES AND PAYABLES NOT ASCERTAINED PROPERLY: APMAM mandates that the receivables in case of tax income shall be ascertained for the last five years and incase of non- tax income for the last three years. But the same was not adopted either in the FOBS or in the account rendered now to audit. If the receivables and payables were not assessed properly now there was every chance that of the institution suffers at a later

date. However, the basis for the amounts arrived at as receivables and payables was also not made known to audit.

6) RECEIVABLES NOT RECONCILED: The Accounts Section and the Tax Section shall reconcile the balance at the beginning of the accounting year in respect of the year wise property and other tax receivables as appearing in the balance sheet of the previous year with the year wise total of the arrears recorded in the demand register as per the provisions contained in APMAM. But during the verification of the annual accounts, it was noticed that the arrear demand registers were not maintained by the ULB and as such the amount shown in the balance sheet could not be held to be correct and the basis on which the figures had been finalized was also not made known to audit.

7) ADVANCE COLLECTION OF D&O TRADE FEES INCLUDED IN THE I&E STATEMENT:

The convention in the ULBs with regard to the collections of D & O trade fees was to collect the same in advance for the subsequent year i.e., before February of a year. The collections made after February are to be made along with collection of belated fees. The advance collection made shall be kept under deposit for that year and adjusted to General funds in the subsequent year. But during the course of verification of account it was noticed that the said distinction was not observed and the collections made were not classified based on the year to which they pertain. As a result of which the entire amount collected was reflected as income in the Income and Expenditure statement for the year 2023-24 though the income actually pertains to the subsequent year 2023-24. The correctness of the Income and Expenditure statement to that extent suffered due to the above defect pointed out.

8) RECEIPT ENTRIES WERE BASED ON CHITTA: It was observed in audit that the base document that was considered for recording receipt entries in the new system of accounting was Chitta. The endeavor of the accountant who prepared annual accounts was to faithfully account for all the entries in the Chitta as receipt entries in the annual accounts. But no effort was made to trace amounts collected by the collection staff and remained unremitted if any.

9) SOME OTHER MATERIAL OBSERVATIONS:

- As verified from the Schedules enclosed to the -Income and Expenditure statement, it was noticed that the amounts relating to the -previous year- were not furnished.
- As verified from the Schedules enclosed to the -Balance Sheet-, it was noticed that the details of -additions- and -deletions- during the year 2023-24 were not furnished.
- Statement of cash flows (a summary of ULBs cash flow for the period from 01-04-2023 to 31-03-2024) was not furnished.
- Financial performance indicators were not furnished.
- Financial ratios were not calculated and produced.

10) FIXED ASSETS REGISTER NOT MAINTAINED: The A.P. Municipal Asset Valuation Methodology Manual provides for maintenance of Fixed Assets Register for 11 categories of assets and formats were prescribed in Annexure-6 and as per instructions the register has to be maintained updating the details of acquisition/construction/improvement of assets for each particular year. But it was noticed during audit that no such registers have been maintained under certification by the competent authority for the years 2009-10 to 2023-24 duly incorporating the assets identified in FOBS/rectified FOBS.

No effort has been made either to maintain Fixed Asset Register as part of preparation of annual account in the year 2009-10 and no updating was recorded by capturing the additions/deletions during the year 2023-24 in the annual accounts for the year 2023-24

Non maintenance of the important Asset register by the ULBS having significant and valuable assets impairs the asset management system and proper watch on the cost of the assets/improvement to assets would not be possible.

11) NOTES TO ACCOUNTS NOT ENCLOSED TO FINANCIAL STATEMENTS: The Notes to accounts comprising of the statement of significant accounting principles followed by the ULB in respect of accounting for its transactions and its preparation and presentation of the financial statements, statement of contingent liabilities representing obligations relating to past transactions and claims against the ULBs which were contingent on the happening of future uncertain events, subsidy report in accordance with the provisions of the Act and rules governing the ULBs and instructions of the Government in respect of certain services along with many other disclosures like details of honorarium paid to mayor/chair person, amount of refunds, remissions and writes of etc., were not enclosed with the financial statements and in the absence of the same the annual account prepared could not be analyzed fully during the course of audit.

12) RECONCILIATION PROCEDURES NOT OBSERVED: A.P.M.A.M., prescribed reconciliation procedures with an objective to ensure that the accounting information is recorded at more than one place, there are no discrepancies between the different sets of records. The procedures include the following.

a) Bank reconciliation: aiming at reconciliation of bank, treasury balances with cash book balances.

b) Inter Unit reconciliation: intending to identify the disputed/un accepted inter unit transactions and to take appropriate action for rectification which is necessary in the process of consolidation of ULB at the head office level as the balances of inter unit account balances shall be nullified.

c) Reconciliation of Deposits: Aiming at reconciliation the balance of EMD/SD etc., and any other deposits received by the ULB. The reasons for differences shall be identify and rectification entries passed whenever required by the section concerned.

d) Reconciliation of receivables and collections: The receivables and collections shall be reconciled on a quarterly basis or such other shorter time intervals, however the procedure for reconciling outstanding balances of receivables and collections of all kinds of receivables namely viz., property tax receivables, Water tax receivables etc., is the same.

e) Reconciliation of Advances given: Advances given shall also be reconciled on a quarterly basis including advances given to employees of ULB, sections of the ULB and contractors and suppliers.

Further A.P.M.A.M. envisaged reconciliation of loans taken, reconciliation of payables, reconciliation of ledger balances etc., also.

But during the scrutiny in audit, it was observed that these procedures prescribed were not followed and no reconciliation statements were enclosed to the final accounts, in the absence of reconciliation of receivables and collections the balances shown as either receivable or collected could not be held to be correct. Urgent steps would need to be taken by the Executive Authority to cause preparation of the reconciliation statements as per the instructions of the A.P.M.A.M.

13) MANY ITEMS WERE BOOKED UNDER THE HEAD -OTHERS- FOR NOT KNOWING CORRECT CLASSIFICATION: It appears that while making data entry and creating vouchers many items were booked under the head -others- either due to lack of understanding at data entry level or because of the complexity involved in deciphering the correct classification of the expenditure as per the Chart of Accounts prescribed by the APMAM.

14) MIS-CLASSIFICATIONS: Instances of misclassifications are many and some of the misclassifications may have material effect in reflecting the true and fair view of the accounts so prepared.

15) IRREGULAR CALCULATION OF DEPRECIATION: As per Para 5.2.1 of A.P. Municipal Asset Valuation Methodology Manual Depreciation shall be provided at full rates for assets purchased/constructed before October 1st and at half rates if purchased/constructed on or after October 1st of an accounting year. As the depreciation statements were not produced to audit, it could not be known whether the procedure as per said manual at the time of calculation of depreciation was followed or not.

16) PROPERTY TAX AND ITS COMPONENTS - NOT FOLLOWED CORRECTLY:

According to Sec.85 of the A.P. Municipalities Act, 1965, the government have fixed ceiling to the rate of property tax inclusive of Education Tax and Library Cess that it should not exceed 25% of ARV in respect of residential buildings and 33% of ARV in respect of non-residential buildings. The property tax should be allocated to the following components.

1. General purpose
2. Water supply tax
3. Drainage tax
4. Scavenging tax
5. Lighting tax
6. Education tax
7. Library Cess

As verified from the annual account, the property tax was not allocated as per the said provision of the Municipal Act. This is contrary to the A.P. Municipal Act. The allocation would need to be done.

Further the authority concerned would need to examine whether the compliance of this mandate of the A.P. Municipal Act was loaded in the software or not and whether the software is giving such a report or not. In case the same is not supported by the software steps should be taken for the inclusion of the logic pertaining to this aspect in the software.

PARA NO.77

CODE NO.18

REGISTERS NOT MAINTAINED:

The important registers to be maintained along with cash book were as detailed below. Early action would need to be taken to maintain these registers and produced the same for verification in audit.

1. Un-disbursed Pay register
2. Permanent Advance register
3. Register of contingent charges
4. Register of A.G. Objections.
5. Stock register of Furniture
6. Establishment Audit register
7. Increment Watch Register
8. Register showing the temporary establishment and their continuance.
9. Stock register of M.V. Forms
10. Register of Security deposits
11. Register of recoveries of loans granted to Government Servants for purchases of Bicycles, H.B.A.M.A., Motor cycle etc.,
12. Condemned articles register.
13. Mutation register
14. Stock register of P.H. articles.
15. Petty Cash book
16. Tools and Plants Register
17. Stock Register for Stationery
18. Used Receipt Books for the taxes collected manually (WT VLT and M.R)
19. Register of Auction files of Vacant condemned
20. Grants register.
21. Register of meetings.

22. Register of works.
23. EMD & FSD Register
24. Register of assets created with 15th FC and other Scheme funds and various scheme Funds.
25. Register of Zilla Grandhalaya Samatha
26. Register of Revenue Yielding properties

Para No.78

Code No.18

TOWN PLANNING - REGISTER OF UNAUTHORISED CONSTRUCTIONS NOT MAINTAINED IRREGULAR:

During the course of audit for the year **2023-24**, it was noticed that the register of unauthorized constructions was not maintained in town planning section. Whereas on verification of records relating to revenue section it was noticed that, a huge number of unauthorized buildings were constructed during **2023-24** and house tax was imposed with 10% penalty which was irregular and the Council sustained huge loss due to the non-imposition of penalty on unauthorized constructions as per G.O.Ms.No.49 M.A dt.30-7-98.

Para No.79

Code No.18

DEPARTMENTAL INSPECTION AND INTERNAL AUDIT OF THE OFFICE NOT DONE.

Departmental Inspection:-According to the Government orders in G.O.Ms.No.247,GAD,dated 8.2.1962 and instructions issued from time to time. District Officers and their subordinate officers are required to be inspected by the Heads of Departments periodically and furnish Inspection Reports in the form of Questionnaire prescribed therein. The need for inspection of Government offices periodically was also emphasized in Government Memo.

Internal Audit:- As per the orders in G.O.Ms.No.34, F &P Department dated 1-7-1997, it was the responsibility of the Accounts Branch of the Head of the Department to conduct Internal Audit of the Regional offices, District offices, unit offices etc., periodically at least once in a year and furnish report.

The copies of the Departmental Inspection notes and Internal Audit notes were not produced to audit. In the absence of the said copies it could not be known whether the inspection either departmental or internal was conducted in time or not. The same may be furnished to audit.

PARA NO.80

CODE NO.18

ADVANCES - ADVANCES RECOVERABLE REGISTER NOT MAINTAINED PROPERLY - IRREGULAR - NEEDS PROPER MAINTENANCE:-

As verified from the Advances recoverable register maintained for the year 2023-24 it was full of defects as detailed below.

1. Many advances sanctioned during the year were not entered in the register which is highly irregular. The advances sanctioned during the year were detailed in the next page.

2. Previous balances were not forward to by the advances sanctioned during the financial year, leaving the outstanding advances that were sanctioned in previous years without accounting for which is highly irregular.
3. Recoveries were not posted in the register by noting the installment numbers. As such, how much amount was recovered and how much balance was left out for that year could not be checked in audit.
4. Advances account not prepared for the year. D.C.B. was not produced.

In view of the above defects in maintenance of advances recoverable register, the advances account could not be finalized and also whether they are being recovered or not could not be checked in audit. As such the loss if any caused to municipal funds due to irregular maintenance of this register should be got recovered from the person or persons responsible. Immediate action would need to be taken to produce the said register duly rectifying the defects.

Para No.81

Code No.18

REGISTERS NOT MAINTAINED:

The important registers to be maintained along with cash book were as detailed below. Early action would need to be taken to maintain these registers and produce the same for verification in audit.

1. Un disbursed Pay Register
2. Un disbursed Contingent Register
3. 3Permanent Advance Register
4. T.A. Bill Register (APTC Form-40)
5. Miscellaneous Bill Register (APTC Form-40)
6. Register of contingent charges
7. Account Bills watch Register
8. Register of Advances of Pay & T.A
9. Tour Advance Register
10. Register of recoveries of advance on transfer
11. Registers of Recoveries of Festival, Medical Advances separately.
12. Register of recoveries of Loans granted to government servants for purchase of Bicycles, House Building, Marriage, Motor cycle etc.
13. Register of recoveries of P.F.
14. Register of other government recoveries i.e. A.P.G.L.I. etc. (A.P.F.C. Vol-II)
15. Increment watch Register (Gazetted & Non-Gazetted separately)
16. Register of valuables (Cheques and drafts received)
17. Register of Security Deposits
18. Register showing account of receipts used and unused.
19. Register showing the temporary establishment and their continuance.
20. File containing the original challans for the amounts remitted in to the Treasury.
21. Register of challans remitted in to Treasury

22. Printed receipt books for the issue of receipts for the amounts received for the parties
23. Register of Accountant general is objections
24. Registers of objected raised by departmental inspecting officer.
25. Stock Register of Furniture
26. Stock Register of Stationary
27. Stock Register of Computer Hardware
28. Stock Register of Computer Stationery
29. Usage Register of Computer Stationery
30. Condemned Articles Register
31. Mutation Register
32. Grants appropriation Register
33. Appropriation Register of Loans
34. Consolidated tools and plant Register
35. Consolidated tools and plant Register
36. Establishment Audit Register etc.
37. D.D/Cheques issue Register not maintained.
38. Library Cess Register not maintained.
39. Property Tax Appeals Register not maintained.
40. Service Registers not Produced.

Para No.82

Code No.18

RECONCILIATION PROCEDURES NOT OBSERVED:

A.P.M.A.M., prescribed reconciliation procedures with an objective to ensure that the accounting information is recorded at more than one place, there are no discrepancies between the different sets of records. The procedures include the following.

a) Bank reconciliation: aiming at reconciliation of bank, treasury balances with cash book balances.

b) Inter Unit reconciliation: intending to identify the disputed/un accepted inter unit transactions and to take appropriate action for rectification which is necessary in the process of consolidation of ULB at the head office level as the balances of inter unit account balances shall be nullified.

c) Reconciliation of Deposits: Aiming at reconciliation the balance of EMD/SD etc., and any other deposits received by the ULB. The reasons for differences shall be identify and rectification entries passed whenever required by the section concerned.

d) Reconciliation of receivables and collections: The receivables and collections shall be reconciled on a quarterly basis or such other shorter time intervals, however the procedure for reconciling outstanding balances of receivables and collections of all kinds of receivables namely viz., property tax receivables, Water tax receivables etc., is the same.

e) Reconciliation of Advances given: Advances given shall also reconciled on a quarterly basis including advances given to employees of ULB, sections of the ULB and contractors and suppliers.

Further A.P.M.A.M. envisaged reconciliation of loans taken, reconciliation of payables, reconciliation of ledger balances etc., also.

But during the scrutiny in audit it was observed that these procedures prescribed were not followed and no reconciliation statements were enclosed to the final accounts, in the absence of reconciliation of receivables and collections the balances shown as either receivable or collected could not be held to be correct. Urgent steps would need to be taken by the Executive Authority to cause preparation of the reconciliation statements as per the instructions of the A.P.M.A.M.,

83. RECEIPTS AND CHARGES:-

The Gross Receipts and Charges of Municipal Council, KANDUKUR, for the year 2023-24 are furnished below.

Name of the fund	Receipts Rs. Ps.	Charges Rs. Rs.
HOA 001 Account	141246186	140021060.08
HOA 002 Account	65735664	62916218
15 th Finance Grant	0	0
CFMS	21466717	7043405.20
PFMS	23672557	7042827
TOTAL	252121124.00	217023510.28

84. STATUS OF PENDING AUDIT OBJECTIONS

1538 Items of objections involving a sum of Rs. 24,73,01,514.00 as detailed below were pending settlement at the close of audit.

Sl.No.	Year	No.of Objections	Amount (Rs)
1	1987-88	17	177983
2	1989-90	6	32464
3	1990-91	31	265970
4	1991-92	28	1218964
5	1992-93	21	1252165
6	1993-94	18	183865
7	1994-95	21	2702404
8	1995-96	51	6426217
9	1996-97	52	1813989
10	1997-98	53	2738638
11	1998-99	48	2258066
12	1999-00	49	1120873
13	2000-01	43	1012826
14	2001-02	41	2821152
15	2002-03	13	250264
16	2003-04	19	1473631
17	2004-05	20	1840913
18	2005-06	25	16090685
19	2006-07	18	18604941
20	2007-08	32	13654976
21	2008-09	31	12167270
22	2009-10	135	26059487
23	2010-11	94	35066283
24	2011-12	66	4693334
25	2012-13	78	16755898
26	2013-14	42	1844172
27	2014-15	40	2799178
28	2015-16	51	4066157
29	2016-17	54	1816057
30	2017-18	31	119989
31	2018-19	41	23001648
32	2019-20	39	5592507
33	2020-21	36	4746279
34	2021-22	58	14861660
35	2022-23	54	8455711
	Total	1456	237986616
36	2023-24	82	247301514
Gand total		1538	247301514

24,49,82,558.00

69,95,942.00

District Audit Officer
State Audit::Nellore.